Elkem ASA

Trough prices, a fixed cost per tonne and NOK 13 a share the P&L does not show

We rate Elkem ASA BUY with a 12-month target price of NOK 48 (+55% upside, 55% expected total return). The target is 70% DCF (NOK 47) and 30% peer multiples (NOK 37), rolled forward twelve months.

Q3 2026: two divisions carry the group. Operating income NOK 3 587m (−2 %), EBITDA NOK 554m (−14 %): Foundry Alloys NOK 235m (22 %), Carbon NOK 183m (23 %), Silicon – 55 % of revenue – NOK 127m (6 %) at silicon and ferrosilicon prices the company calls 'historic lows' [Q3-26 p4-5].

Against the company's own targets. The Capital Markets Update asks for an EBITDA margin above 20 % over the cycle and leverage below 2.5x; the last twelve months are 13 % and 3.3x. Our base case reaches 18 % in 2028 and never 20 %; the bull case does.

What is in our numbers. Silicon prices +10 % (2027) and +5 % (2028) from the trough, costs fixed per tonne, the NOK 600m programme in the run-rate; plus the held-for-sale plants at book and the EU ETS allowances at the company's NOK 1.2bn – together NOK 13 a share.

Valuation. 70 % DCF and 30 % peer multiples, rolled forward twelve months. The price implies a final-year EBIT margin below the 10.7 % earned in the trough year 2025 (valuation page); the bear case – prices stuck at the trough for eight years – is far below the price.

BUY

TP NOK 48 · +55%

Share price NOK 30.92 (2 Nov 2026). Expected total return 55% incl. dividend NOK 0.00. Cost of equity 9.4%.

ELK vs OSEBX (rebased), 12 months



Source: oslo-quant store (Yahoo Finance adjusted daily close; OSEBX from the store's index data). Data as of 2026-11-02.

SUMMARY

Recommendation (previous)	BUY (first report)
Share price	NOK 30.92
Target price (previous)	NOK 48 (first report)
Upside / expected total return	55% / 55%
Consensus target (Yahoo, mean)	NOK 38.4
Next event	Q4 2026 report – 11 Feb 2027

CAPITAL STRUCTURE

Shares outstanding / diluted (m)	362.5 / 362.5
Market capitalisation (NOKm)	11 208
Net interest-bearing debt (30 Sep 2026, NOKm)	6 125
Lease liabilities (NOKm)	333
Enterprise value excl. / incl. leases (NOKm)	12 824 / 13 158
NIBD / EBITDA after leases (2025A)	3.70x
52-week high / low	36.84 / 25.00
Free float	n.a. (not published)

ESTIMATE CHANGES

Estimate changes

First report – there are no previous estimates to compare with. Each build stores its estimates; the next report shows old vs new.

Key figures 2025–2028E (multiples at the current share price, pre-IFRS 16 basis)

	2025A	2026E EST	2027E EST	2028E EST
Revenue (NOKm)	14 966	14 447	15 496	16 496
EBITDA reported (NOKm)	2 566	1 892	2 603	3 039
EBITDA after leases (NOKm)	2 394	1 718	2 417	2 841
EBIT adj. (NOKm)	1 596	852	1 534	1 950
Net profit (NOKm)	674	306	949	1 295
EPS (NOK)	0.93	0.78	2.41	3.29
DPS (NOK)	0.00	0.00	0.84	1.31
Revenue growth	–	(3.5%)	7.3%	6.5%
EBITDA after leases margin	16.0%	11.9%	15.6%	17.2%
EBIT adj. margin	10.7%	5.9%	9.9%	11.8%
ROIC	–	4.3%	8.1%	10.0%
EV / Sales (x)	0.9x	0.9x	0.8x	0.8x
EV / EBITDA after leases (x)	5.1x	7.0x	5.1x	4.3x
EV / EBIT adj. (x)	8.1x	15.1x	8.5x	6.7x
P / E (x)	33.2x	39.8x	12.8x	9.4x
Dividend yield	0.0%	0.0%	2.7%	4.3%
FCF yield	–	13.4%	5.6%	8.9%

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

A student case study and a process document – not investment research and not investment advice. Author: Case author (private student case study). Prices: 2 Nov 2026, close (Oslo Børs, via the oslo-quant store) – the last close before the model date 3 Nov 2026. Rating scale: BUY: 12-month expected total return above the cost of equity + 5pp; SELL: below Ke − 5pp; HOLD in between. Estimates are marked EST; every exhibit names its source and date. See the disclosures on the last pages.

Contents

1	Investment case overview
2	Company overview
3	Quarter preview
4	Deep dives – the themes that decide the case
5	Competition per market
6	Macro – the drivers that reach the P&L
7	Estimate revisions
8	Valuation
9	Financial statements
10	What we do not know
11	Disclosures, sources and checks

1 Investment case overview

The thesis in one sentence: the market values the new Elkem as if 2026's trough prices were permanent and as if the balance sheet held nothing but debt; neither is what the company's own disclosures say.

Share price, target price and the bear and bull values twelve months out



Source: oslo-quant store (Yahoo Finance adjusted daily close; OSEBX from the store's index data) (prices); case model (target and scenario values). Data as of 2026-11-02.

Target price methodology

- Fair value today = 70% DCF (NOK 47.0) + 30% peer multiples (NOK 36.6) = NOK 43.9.
- Rolled forward twelve months at the cost of equity (9.4%) less the dividend (NOK 0.00), rounded: target NOK 48.
- Bull NOK 82 / bear NOK 10 are the same calculation on the bull and bear forecasts (probabilities 25% / 30%); probability-weighted value NOK 44.1.
- WACC 8.1%, terminal growth 2.0%, terminal value 65% of EV.

Downside risks to our case

- Chinese overcapacity (social inventory 458 kt in Sep 2026, exports +4 %) keeps EU silicon prices at the trough and the review ends without a higher duty.
- Power: NO3 spot averaged 105 øre/kWh in Q1 2026 against 25 øre in 2025; the hedges and the '30-øringen' contract expire from 2030.
- Leverage 3.3x with a BBB− rating on negative outlook (Scope, 19 Mar 2026); covenants 4.75x to March 2027 and 4.25x after.
- Iceland and Roussillon realise less than book value – Iceland's own fair-value range is NOK 0-3.0bn [Q3-26 p24].

Our case – and how we differ from consensus

- **Silicon price recovery:** 2027 revenue +7 % (15.5bn): Silicon prices +10 % from the 2026 trough, volume -2 % (no inventory left to sell, one Rana furnace out) *(consensus: Revenue 2027E 16.5bn, +11 % (Yahoo, 6 analysts) – a faster normalisation)* – Revenue 2027E: our estimate is -6,2% vs. consensus
- **Earnings on the new cost base:** 2027 EPS below the market: our EBITDA 2.6bn (17 %) carries a 25 % tax rate, 8 % minorities and NOK ~0.3bn of interest *(consensus: EPS 2027E NOK 3.63 (3 analysts) – requires EBITDA of about 3.0bn or a lower tax charge)* – EPS 2027E: our estimate is -33,7% vs. consensus
- **Assets the P&L does not show:** NOK 4.9bn of non-operating value: held-for-sale net assets 3.4bn (Iceland, Roussillon) at book and 1.3 million EU ETS allowances worth ~1.2bn *(consensus: Not in any public estimate; the share trades at 0.9x book (light case))* – EPS 2026E: our estimate is -17,3% vs. consensus

Upside risks to our case

- A higher EU duty on Chinese silicon with retroactive effect from the 27 Oct 2026 registration.
- Sale of Iceland or Roussillon at or above book, or allowance sales earlier than modelled.
- A faster Carbon recovery as ferroalloy and silicon furnaces restart in Europe (CBAM from 1 Jan 2026, steel safeguards from 1 Jul 2026).

The investment case in four points

- **Cost per tonne is fixed, price is not:** raw materials and energy were 43 % of revenue in 2025 and 49 % in nine months of 2026 at lower prices with the same costs; a 10 % Silicon price recovery adds about NOK 0.9bn of revenue and almost all of it to EBITDA (deep dive 2).
- **Two specialty divisions earn through the cycle:** Foundry Alloys 18-38 % and Carbon 23-31 % EBITDA margins in 2021-2025, ROCE 18 % and 43 % in 2025 [CMU-26]; they delivered 77 % of group EBITDA in nine months of 2026 (1 218 of 1 393).
- **Trade defence is moving:** EU anti-dumping duties on ferrosilicon renewed for five years (China 31.2 %), an interim review of the 16.8 % silicon duty opened 1 Sep 2026 with import registration from 27 Oct 2026, ferroalloy safeguards since 18 Nov 2025 [Q3-26 p4; presentation slide 16].
- **The balance sheet holds more than debt:** net assets held for sale of NOK 3.4bn (Iceland, Roussillon), EU ETS allowances worth ~NOK 1.2bn at zero book value, cash of NOK 5.5bn against maturities of NOK 0.9bn in 2027 [Q3-26 note 1, note 6, note 9].

Signposts calendar – the next events and what each one has to show

Date	Event	What to watch (scenario signposts)	Source
11 Feb 2027	Q4 2026 report	Division margins each quarter; NIBD/EBITDA against the <2.5x target	Elkem financial calendar (NewsWeb 679951, 17 Aug 2026)
19 Mar 2027	Annual report 2026	Silicon division EBITDA margin; GFEX silicon futures; EU import registration volumes	Elkem financial calendar (17 Aug 2026)
31 Mar 2027	Rana furnace renewal – installation during Q1 2027, three to four months	Commission decisions; EU silicon and ferrosilicon reference prices; Elkem Silicon realised prices	Q3 2026 report p4 (30 Sep 2026 announcement)
22 Apr 2027	Annual general meeting and Q1 2027 report	–	Elkem financial calendar (17 Aug 2026)
13 Jul 2027	Half-year report 2027	–	Elkem financial calendar (17 Aug 2026)
1 Sep 2027	EU anti-dumping interim review on Chinese silicon – earliest conclusion (12 months from 1 Sep 2026; at most 15)	–	Q3 2026 report p4; Commission notice 1 Sep 2026

Source: Company financial calendar (data module EVENTS); Thesis sheet signposts. Data as of 2 Nov 2026.

Where we differ from consensus – the evidence, and when we find out

Topic	Our view	Consensus / the market	Why we differ – the evidence	What proves it, and when	In numbers
Silicon price recovery	2027 revenue +7 % (15.5bn): Silicon prices +10 % from the 2026 trough, volume -2 % (no inventory left to sell, one Rana furnace out)	Revenue 2027E 16.5bn, +11 % (Yahoo, 6 analysts) – a faster normalisation	EU reference prices rose only 'modestly' in Q3 2026; the anti-dumping review concludes between Sep and Dec 2027 and the ferroalloy safeguard has had 'less positive market price impact than expected' [Q3-26 p4, p23]; nine-month volume +13 % came from stock (inventories 5 959 -> 4 433)	Q4 2026 report (11 Feb 2027): Silicon EBITDA and the quarter-end inventory level; Q1 2027 report: realised prices after the import registration	Revenue 2027E: our estimate is -6,2% vs. consensus
Earnings on the new cost base	2027 EPS below the market: our EBITDA 2.6bn (17 %) carries a 25 % tax rate, 8 % minorities and NOK ~0.3bn of interest	EPS 2027E NOK 3.63 (3 analysts) – requires EBITDA of about 3.0bn or a lower tax charge	The NOK 600m programme is in the 2026 run-rate already (nine-month opex down 6 %); what is left is price. FX gains of 664 flatter the 2026 result and are not repeatable	Q4 2026 report (11 Feb 2027): underlying EBIT and the tax rate; the 2026 annual report (19 Mar 2027): cost base by nature	EPS 2027E: our estimate is -33,7% vs. consensus
Assets the P&L does not show	NOK 4.9bn of non-operating value: held-for-sale net assets 3.4bn (Iceland, Roussillon) at book and 1.3 million EU ETS allowances worth ~1.2bn	Not in any public estimate; the share trades at 0.9x book (light case)	Iceland's fair value is estimated equal to book with a 0-3.0bn range; Roussillon has a take-or-pay contract with Bluestar to 2031; the allowances are to be sold 'over time' and will be booked as revenue [Q3-26 note 1, note 9; presentation slide 10]	Any sale announcement for Iceland or Roussillon; allowance sales in the Q4 2026 and Q1 2027 reports	EPS 2026E: our estimate is -17,3% vs. consensus

Source: Case model (Consensus sheet); consensus as stated there. Data as of 2 Nov 2026.

Scenarios – value, story, trigger and signpost

Scenario	Probability	DCF value	vs price	12m value	Rating	Story	What has to happen	Signpost
Bear	30%	NOK 3.6	(88%)	NOK 10	SELL	Chinese overcapacity keeps EU silicon and ferrosilicon prices at the 2026 trough, the anti-dumping review adds nothing and power costs rise	EU silicon reference prices flat through 2027 and Silicon EBITDA margin below 5 % for two quarters	Silicon division EBITDA margin; GFEX silicon futures; EU import registration volumes
Base	45%	NOK 47.0	+52%	NOK 48	BUY	Prices normalise slowly from the trough, the cost programme holds and Foundry Alloys and Carbon keep 20-30 % margins	Silicon EBITDA margin back above 10 % during 2027 and group leverage below 3.0x by end-2027	Division margins each quarter; NIBD/EBITDA against the <2.5x target
Bull	25%	NOK 87.4	+183%	NOK 82	BUY	The anti-dumping review raises the duty on Chinese silicon and the safeguard bites: EU prices return towards 2023-24 levels	Commission proposal for a higher duty (within 12-15 months of 1 Sep 2026) and Silicon EBITDA margin above 15 %	Commission decisions; EU silicon and ferrosilicon reference prices; Elkem Silicon realised prices

Source: Case model (Thesis sheet). Data as of 2 Nov 2026.

Scenario assumptions (changes to the base-case drivers)

Driver	Bear	Base	Bull	What it stands for
Volume growth, all segments (pp p.a.)	-1.00pp	+0.00pp	+1.00pp	Lost share to imports and furnace stops / full utilisation
Price/mix growth, all segments (pp p.a.)	-3.00pp	+0.00pp	+2.00pp	EU prices stay at the 2026 trough / trade defence lifts EU prices
Net new locations per segment per year (count, location mode)	+0	+0	+0	Not used – the model runs in segment mode
Raw materials and energy in % of revenue (pp)	+1.00pp	+0.00pp	-0.50pp	Power and coke costs vs. biocarbon and energy recovery
Personnel expenses, variable part (pp of revenue)	+0.00pp	+0.00pp	+0.00pp	Unchanged – the programme is delivered in every scenario
Other opex, variable part (pp of revenue)	+0.00pp	+0.00pp	+0.00pp	
Maintenance capex in % of revenue (pp)	+0.00pp	+0.00pp	+0.00pp	Reinvestment ~100 % of D&A in every scenario
Terminal growth (pp)	+0.00pp	+0.00pp	+0.00pp	
Exit multiple, EV/EBITDAaL (x)	-1.0x	+0.0x	+1.0x	Multiple de-/re-rating
Scenario probability (for weighted value)	30%	45%	25%	Must sum to 100%

Source: Case data module (SCENARIO_ADJ). Data as of 2 Nov 2026.

Scenario paths – revenue and EBIT adj. by year (NOKm)

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Bear – revenue	**13 829**	**14 275**	**14 614**	**14 520**	**14 415**	**14 239**	**14 052**	**13 868**
Bear – EBIT adj.	499	943	1 096	933	751	452	230	7
Bear – EBIT adj. margin	3.6%	6.6%	7.5%	6.4%	5.2%	3.2%	1.6%	0.0%
Base – revenue	**14 447**	**15 496**	**16 496**	**17 056**	**17 619**	**18 111**	**18 599**	**19 102**
Base – EBIT adj.	852	1 534	1 950	2 029	2 089	2 002	2 012	2 018
Base – EBIT adj. margin	5.9%	9.9%	11.8%	11.9%	11.9%	11.1%	10.8%	10.6%
Bull – revenue	**14 909**	**16 453**	**18 025**	**19 190**	**20 412**	**21 605**	**22 848**	**24 163**
Bull – EBIT adj.	1 086	1 967	2 616	2 925	3 231	3 381	3 659	3 950
Bull – EBIT adj. margin	7.3%	12.0%	14.5%	15.2%	15.8%	15.7%	16.0%	16.3%

Source: Case model (Sensitivity table 4). Data as of 2 Nov 2026.

Kill criteria – what would make us wrong, checked against the latest actuals

KPI	Kill if	Threshold	Latest actual	Period	Base case next year	Status	Base case check
EBIT adj. margin (pre-IFRS 16)	below	3.0%	10.7%	2025A	5.9%	ON TRACK	OK
Group volume growth	below	(5.0%)	0.0%	2025A	9.0%	ON TRACK	OK
Cash conversion (FCFF / EBITDAaL)	below	0.0%	0.0%	2025A	106.8%	WATCH	OK
NIBD / EBITDAaL	above	4.00x	3.70x	2025A	3.26x	WATCH	OK
EBITDA margin (reported)	below	8.0%	17.1%	2025A	13.1%	ON TRACK	OK

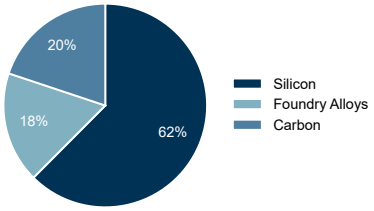
Source: Case model (Thesis sheet); latest actuals from the company's reports. Data as of 2 Nov 2026.

2 Company overview

Company description

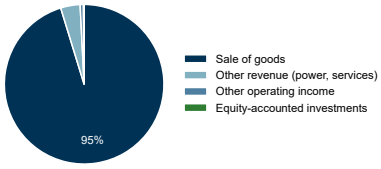
- Elkem ASA is a Norwegian producer of silicon, ferrosilicon and microsilica (Elkem Silicon), foundry alloys for cast iron (Elkem Foundry Alloys) and carbon electrode materials (Elkem Carbon), with 21 production sites and about 2 300 employees in the three divisions after the sale of the Silicones division to Bluestar on 30 Apr 2026 [CMU-26 slides 6, 23, 34, 44].
- Revenue 2025 on the new perimeter NOK 15.0bn: external sales Silicon 60 %, Foundry Alloys 18 %, Carbon 20 %, other 3 %; EBITDA NOK 2.6bn (17 %) [Q3-26 note 2].
- The model is a segment build: sales volume × realised price per division, with raw materials and energy per tonne that follow input inflation, not the sales price.

Revenue by segment, 2025A



Source: Company reports (segment note). Data as of FY 2025.

Revenue by category, 2025A



Source: Elkem ASA Q3 2026 report, 29 Oct 2026, note 2 (restated FY2025). Data as of 29 Oct 2026.

Financial targets (company)

- **EBITDA margin:** > 20 % average over the cycle, assuming market normalisation for Silicon (LTM Q3 2026: 13 %) *(Elkem Capital Markets Update, 29 Oct 2026, slide 56-57)*
- **Leverage:** < 2.5x NIBD / EBITDA at all times; investment-grade profile (3.3x at 30 Sep 2026) * (Elkem Capital Markets Update, 29 Oct 2026, slide 56, 59)*
- **Reinvestments:** ~100 % of D&A (61 % in nine months of 2026; 2026 investments capped at NOK 1.0bn) *(Elkem Capital Markets Update, 29 Oct 2026, slide 58; Q3 2026 report p6)*
- **Dividend:** 30-50 % of EPS; none for 2025 *(Elkem Capital Markets Update, 29 Oct 2026, slide 60; AGM 30 Apr 2026)*
- **Cost programme:** NOK 600m a year from Q3 2026, ~400 FTEs; working capital −NOK 1.0bn * (Elkem release 11 Mar 2026; Q2 2026 report p4)*

Key management

- **CEO – Dag Teigland** – Since 3 Aug 2026; ex-Elkem 1998-2002, ex-CEO Tinfos and Holta Invest; bought 30 000 shares at NOK 31.46 on 30 Oct 2026
- **CFO – Morten Viga** – CFO since 2006, joined Elkem 2001
- **Chair – Helge Aasen** – CEO 2009-2019 and 2021-Aug 2026; elected chair 30 Apr 2026

Largest shareholders

Shareholder	Stake
Folketrygdfondet	8.8%
Must Invest AS	6.8%
J.P. Morgan SE (nominee)	5.6%
Pareto Aksje Norge	5.5%
ODIN Norge	4.1%
Citibank N.A. (nominee)	3.9%
MH Capital AS	3.0%
SpareBank 1 Norge Verdi	2.1%
DNB AM Norske Aksjer	1.9%
Elkem ASA (treasury)	1.4%

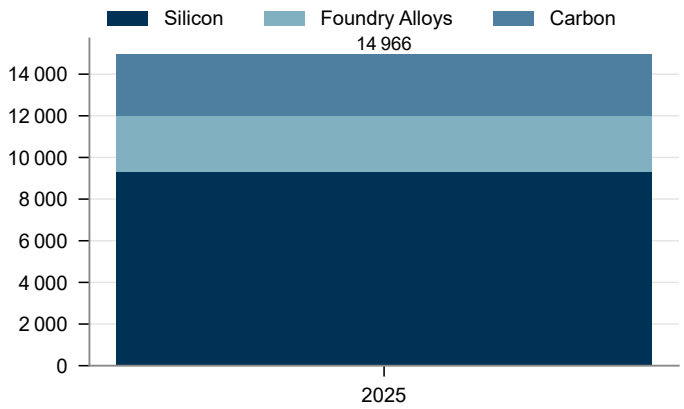
Source: elkem.com, largest shareholders (undated list; the percentages reconcile to the 367 769 508 shares registered 8 Jun 2026). Bluestar: 0 since 30 Apr 2026, read 3 Nov 2026.

Operating history by segment

	2025A
Silicon – revenue (NOKm)	9 348
Silicon – Sales volume (kt)	207
Silicon – production sites	6
Silicon – revenue per tonne (NOK '000)	45
Foundry Alloys – revenue (NOKm)	2 642
Foundry Alloys – Sales volume (kt)	131
Foundry Alloys – production sites	7
Foundry Alloys – revenue per tonne (NOK '000)	20
Carbon – revenue (NOKm)	2 976
Carbon – Sales volume (kt)	262
Carbon – production sites	6
Carbon – revenue per tonne (NOK '000)	11

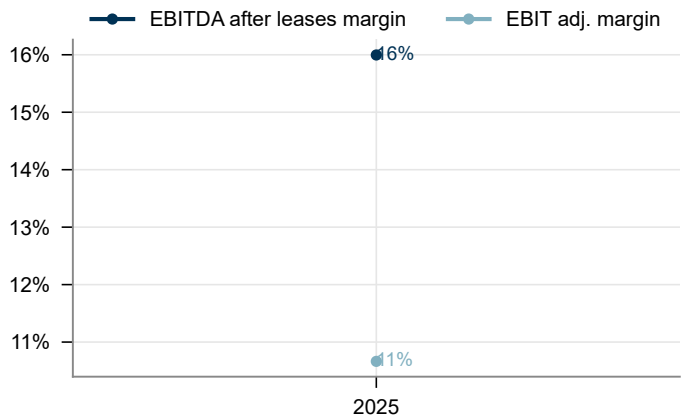
Source: Company reports (segment note). Data as of FY 2025.

Revenue by segment (NOKm)



Source: Company reports (segment note). Data as of FY 2025.

Margins before IFRS 16



Source: Company reports; case model definitions. Data as of FY 2025.

SWOT

Strengths

- Lowest cash cost among Western silicon producers at Salten and Thamshavn (CRU cost curve, CMU-26 slide 26)
- Global #1 positions in foundry alloys and Søderberg electrode paste; consumables that are a small share of customer cost (CMU-26)
- Long-term hydropower contracts, 85 % short/medium-term hedging ratio (CMU-26 slide 12)

Weaknesses

- Silicon (55 % of revenue) earns index prices set by Chinese overcapacity
- Leverage 3.3x, BBB− negative outlook, no dividend for 2025
- One year of comparable history on the current perimeter

Opportunities

- EU trade defence: silicon duty review, ferrosilicon duties renewed, safeguards
- Sale of Iceland and Roussillon; 1.3m EU ETS allowances to sell
- Materials (Microsilica) and Foundry Alloys growth in India and bolt-on M&A (CMU-26)

Threats

- Power repricing after 2030 in a NO3 market that averaged 105 øre/kWh in Q1 2026
- US AD/CVD duties on Norwegian silicon (17 % CVD)
- Weak European construction (PMI 43.4) and steel capacity utilisation of 65 %

3 Quarter preview

Q4 2026 preview – reported 11 Feb 2027

The Q4 2026 report is due on 11 February 2027. No quarterly consensus is public. Our quarter is the annual model split by the 2025 seasonality on the restated perimeter; the company guides to a 'stable' fourth quarter with seasonally lower Foundry Alloys sales and a modest improvement in Carbon.

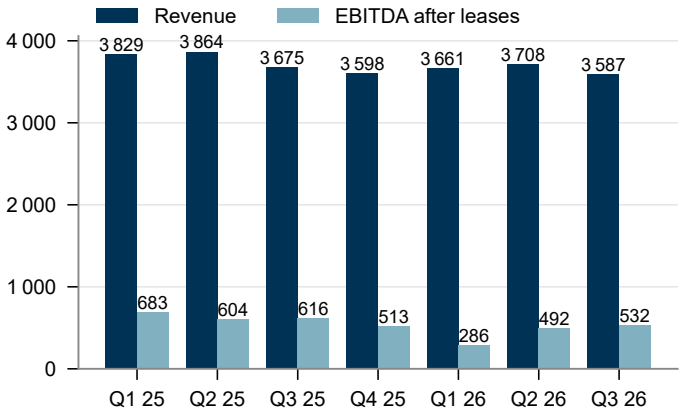
Q4 2026 – our estimate against last year and consensus

NOKm	Q4 2025	Q4 2026 ours EST	y/y	Consensus	vs cons.	FY 2026 EST
Revenue	3 598	3 473	(3%)	*not available*	–	14 447
EBITDA reported	552	407	(26%)	*not available*	–	1 892
EBITDA after leases	513	365	(29%)	*not available*	–	1 718
EBIT adj.	279	149	(47%)	*not available*	–	852
Net profit	129	59	(55%)	*not available*	–	306
EPS (NOK)	–	–	–	*not available*	–	0.78

Note: Our quarter EST = the full-year forecast for 2026E × the average share of Q4 in the full year over 2025 (a seasonality split of the annual model, not a separate quarterly forecast).

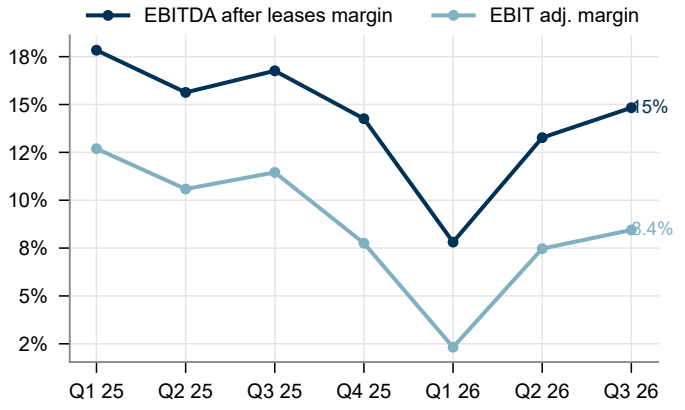
Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived); case model; consensus: not available. Data as of 29 Oct 2026.

Revenue and EBITDA after leases by quarter (NOKm)



Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived). Data as of 29 Oct 2026.

Margins by quarter (before IFRS 16)



Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived). Data as of 29 Oct 2026.

The last quarters

NOKm	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	3 829	3 864	3 675	3 598	3 661	3 708	3 587
EBITDA reported	724	645	646	552	316	523	554
EBITDA after leases	683	604	616	513	286	492	532
EBIT adj.	486	409	421	279	85	277	303
Net profit	207	20	318	129	263	(69)	451
EPS (NOK)	–	–	–	–	–	–	–
EBITDA after leases margin	17.8%	15.6%	16.8%	14.3%	7.8%	13.3%	14.8%
Sales volume – Silicon (kt)	–	–	56	50	–	–	57
Sales volume – Foundry Alloys (kt)	–	–	34	32	–	–	35
Sales volume – Carbon (kt)	65	68	69	60	65	65	69

Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived). Data as of 29 Oct 2026.

Segments by quarter

NOKm	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Carbon – revenue	861	854	822	735	722	741	782
Carbon – division EBITDA	261	242	231	174	164	172	183
Carbon – margin	30.3%	28.3%	28.1%	23.7%	22.7%	23.2%	23.4%
Carbon – sales volume (kt)	65	68	69	60	65	65	69
Foundry Alloys – revenue	–	–	1 009	1 034	–	–	1 056
Foundry Alloys – division EBITDA	–	–	220	202	–	–	235
Foundry Alloys – margin	–	–	21.8%	19.5%	–	–	22.3%
Foundry Alloys – sales volume (kt)	–	–	34	32	–	–	35
Silicon – revenue	–	–	2 351	2 287	–	–	2 142
Silicon – division EBITDA	–	–	224	162	–	–	127
Silicon – margin	–	–	9.5%	7.1%	–	–	5.9%
Silicon – sales volume (kt)	–	–	56	50	–	–	57
Silicon + Foundry Alloys (old Silicon Products segment, ex Iceland) – revenue	2 988	3 066	–	–	2 918	2 946	–
Silicon + Foundry Alloys (old Silicon Products segment, ex Iceland) – division EBITDA	510	443	–	–	187	319	–
Silicon + Foundry Alloys (old Silicon Products segment, ex Iceland) – margin	17.1%	14.4%	–	–	6.4%	10.8%	–
Silicon + Foundry Alloys (old Silicon Products segment, ex Iceland) – sales volume (kt)	79	88	–	–	95	96	–

Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived, segment note). Data as of 29 Oct 2026.

4 Deep dives – the themes that decide the case

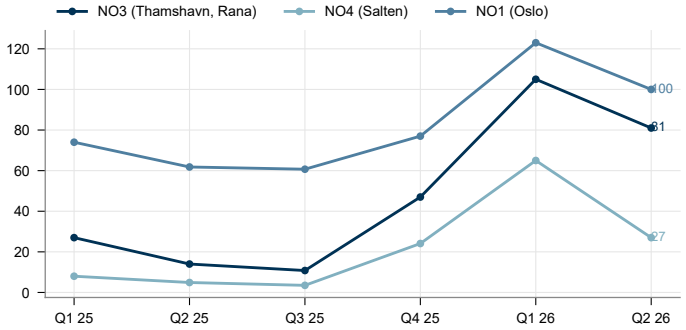
1. Power and CO2: the hedges hold until 2030, and the compensation is NOK 0.7bn a year

Energy is the largest cost line a smelter cannot pass on. How exposed is Elkem to the 2026 jump in Mid-Norway prices, and what is the CO2 regime worth?

Elkem uses about 3.5 TWh a year [AR-25]. The Norwegian plants sit in NO3 (Thamshavn, Rana), NO4 (Salten) and NO5 (Bremanger, Bjølvefossen); NO3 averaged 25 øre/kWh in 2025 and 10 øre in NO4, then 105 øre in NO3 in Q1 2026 – the highest quarter on record – and 81 øre in Q2 [NVE]. The company states an 85 % short/medium-term hedging ratio and long-term contracts: the '30-øringen' to end-2030, Axpo 2027-2035, NTE for Salten 2028-2037 and Statkraft for Bjølvefossen 2031-2037 [CMU-26 slide 12; AR-25; NewsWeb 675247]. The average contract price is not disclosed.

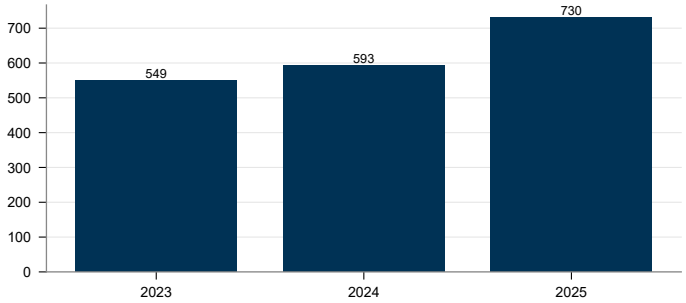
With disclosed quantities only: ±10 % on the 2025 NO3 average is ±NOK 25/MWh, i.e. ±NOK 13m of EBITDA on the unhedged 15 % and ±NOK 88m if the whole volume were exposed; at the Q1 2026 level the same ±10 % is ±NOK 55m and ±NOK 368m. The risk is therefore the repricing when the contracts roll (2030/31), which the model carries as a +4 % unit-cost step in 2031 (EST). CO2 compensation was NOK 730m in 2025 (593 in 2024, 549 in 2023) [AR-25 note 9]; the scheme is capped at NOK 7bn a year with 40 % tied to climate investments, and the 2024 payout was cut 43 % by the cap [Miljødirektoratet, 15 Apr 2025]. In September 2026 Elkem received 1.3 million extra free allowances for 2021-2025 and equal treatment with EU producers for 2026-2030 [Q3-26 note 1].

Day-ahead power price by quarter, øre/kWh (NVE area averages)



Source: NVE Kraftsituasjonen Q1 2025-Q2 2026 (quarterly reports). Data as of Q2 2026 report, Jul 2026.

CO2 compensation received (NOKm) and the EUA price (EUR/t, right scale not drawn)



Note: EUA annual averages: 2023 EUR 83.7, 2024 65.0, 2025 73.9 (DEHSt, UBA); 3 Nov 2026 ~EUR 91 (Trading Economics).

Source: Elkem integrated annual report 2025, note 9 (grants); 2024 annual report. Data as of 19 Mar 2026.

±10 % power price – EBITDA effect with disclosed quantities (NOKm a year, EST)

Price level	±10 % in NOK/MWh	On the unhedged 15 %	On the full 3.5 TWh
NO3 average 2025 (25 øre/kWh)	±25	±13	±88
NO3 Q2 2026 (81 øre/kWh)	±81	±43	±284
NO3 Q1 2026 (105 øre/kWh)	±105	±55	±368

Source: Own arithmetic on Elkem's 3.5 TWh (AR-25), the 85 % hedging ratio (CMU-26 slide 12) and NVE prices. Data as of 3 Nov 2026.

The CO2 regime – what changed in 2026

Item	Status	Source
Norwegian CO2 compensation	Cap NOK 7bn a year (price-adjusted), 40 % to climate measures by 2034; 2024 payout cut 43 %; NOK 7.25bn budgeted for 2026	Miljødirektoratet 15 Apr 2025; Innst. 9 S (2025-26)
EU ETS free allocation	1.3m extra allowances for 2021-25 received Sep 2026 (NO plants had ~72 % vs ~94 % for EU peers); 2026-30 at EU-peer level	Elkem release 21 Sep 2026; Q3-26 note 1
Surplus allowances	~1.3m held at zero book value; estimated fair value NOK 1 200m; sales to be booked as revenue	Q3-26 note 1
EUA price	EUR 90.9 on 3 Nov 2026, +10 % y/y	Trading Economics

Source: As stated per row. Data as of 3 Nov 2026.

Into the model

Driver	Value used	Where in the model
Raw materials and energy per tonne, 2027E-2030E	+2.0 % / +2.5 % a year (input inflation; power hedged)	Drivers | cogs via _unit_cost_build
Unit cost step 2031E	+4.0 % (EST) – the '30-øringen' and short-term hedges roll into a NO3 market priced far above 25 øre	Drivers | cogs 2031
EU ETS allowances	NOK 1 200m added to equity value as a non-operating asset (company estimate)	Inputs | other_adj

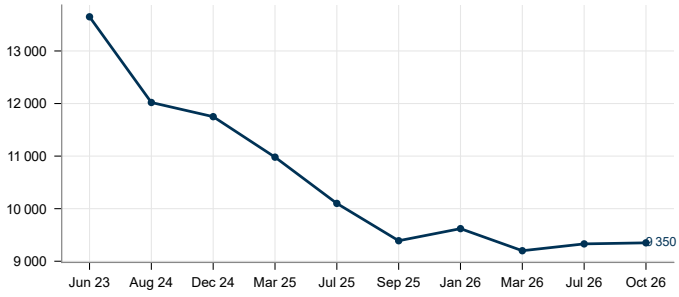
2. The silicon cycle and China: prices at the trough, duties in motion

Silicon is 55 % of revenue and the division earned a 2 % margin in nine months of 2026. What does the price history say about where we are, and what can EU trade policy change?

Chinese spot (East China 553#) sits at 9 300-9 400 CNY/t (26 Oct 2026) against ~13 650 in June 2023; the GFEX front contract bottomed at 6 990 in June 2025 and trades at 8 535 (3 Nov 2026). Ferroglobe's realised silicon price fell from USD 5 332/t (2022) to 2 924 (2025) and 2 592 (Q2 2026); European 5-5-3 material was EUR 2 500-2 650/t in January 2024 and 1 475-1 600 in June 2026 (Argus, as quoted) [KILDER 9a]. Elkem's own words for Q3 2026: 'historic lows', 'modestly up', 'continued to rise in the fourth quarter' [Q3-26 p8].

The EU is the market that matters: more than 75 % of the Norwegian and Icelandic output goes there [presentation slide 16]. The ferrosilicon duties were renewed for five years in July 2026 (China 31.2 %, Russia 22.7 %), the 16.8 % silicon duty is under an interim review opened on 1 Sep 2026 with a 12-15 month clock, and Chinese silicon imports have been registered since 27 Oct 2026, which allows retroactive duties. Our base case prices Silicon +10 % in 2027 and +5 % in 2028 – back to roughly the 2024 level, not to 2022. The division's own history shows what the cycle does to it: EBITDA margins of 23 / 38 / 13 / 16 / 9 / 4 % from 2021 to the last twelve months [CMU-26 slide 29].

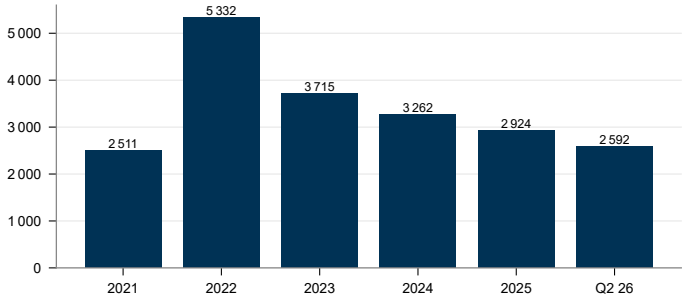
Chinese silicon metal spot price, 441#/553# (CNY/t incl. VAT, dated points)



Note: Points, not a continuous series; a paid index (Fastmarkets, CRU, Argus) would be needed for one. GFEX front contract 8 535 CNY/t on 3 Nov 2026.

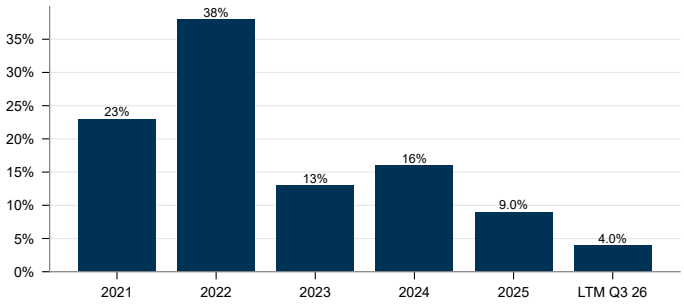
Source: SunSirs (2023-2026 price notes), SMM (Mar 2026), Mysteel (8 and 26 Oct 2026) – see KILDER.md 9a. Data as of 26 Oct 2026.

Ferroglobe realised silicon metal price (USD/t) – the only free Western series



Source: Ferroglobe SEC 6-K filings (22 Feb 2023, 21 Feb 2024, 4 Aug 2026); FY2024-25 via the company's results releases. Data as of 4 Aug 2026.

Elkem Silicon on the current perimeter: revenue (NOKbn) and EBITDA margin



Note: Revenue NOK 10.3 / 17.6 / 11.8 / 10.7 / 9.5 / 9.1bn; ROCE 52 / 118 / 17 / 19 / 6 / −2 %.

Source: Elkem Capital Markets Update, 29 Oct 2026, slide 29 (chart labels). Data as of 29 Oct 2026.

EU and US trade measures on Elkem's products

Measure	Level	Status	Source
EU anti-dumping, silicon from China	16.8 % (Reg. 2022/1394)	Interim review opened 1 Sep 2026; imports registered from 27 Oct 2026 (Reg. 2026/2346); conclusion within 12-15 months	Q3-26 p4; EUR-Lex; GTAI
EU anti-dumping, ferrosilicon	China 31.2 %, Russia 22.7 %	Renewed five years (Reg. 2026/1794, 27 Jul 2026)	Q3-26 p4; EUR-Lex
EU safeguard, ferroalloys	Tariff-rate quotas per country	18 Nov 2025-17 Nov 2028; Norway and Iceland not exempt; silicon metal excluded; 'less positive impact than expected'	NewsWeb 659932; Q3-26 p23
US AD/CVD, silicon from Norway	AD 2.47 %, CVD 17.27 % (Elkem)	Orders 21 Aug 2026 (91 FR 54306)	US Commerce / Federal Register
CBAM and steel safeguards	Carbon price on imports; duty-free steel quota −50 %, duty 50 %	CBAM from 1 Jan 2026; steel safeguards from 1 Jul 2026	Presentation slide 16

Source: As stated per row. Data as of 3 Nov 2026.

Into the model

Driver	Value used	Where in the model
Silicon price/mix 2026E	−14.5 % (nine-month external income −4 % on +13 % volume)	Drivers | priceA
Silicon price/mix 2027E / 2028E	+10 % / +5 % – a partial normalisation towards 2024 prices, below the +11 % revenue growth in the Yahoo consensus	Drivers | priceA
Silicon volume 2026E / 2027E	+13.5 % (inventory sold down) / −2 % (Rana furnace renewal, no stock to sell)	Drivers | volA
Bear / bull price adjustment	−3pp / +2pp a year on every segment	Drivers | adj_price

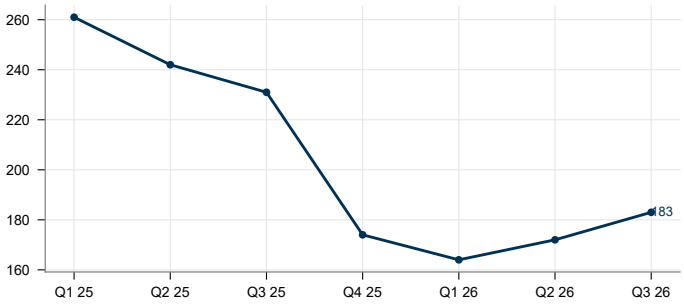
3. Foundry Alloys and Carbon: the specialty core that pays the bills

Three quarters of 2026 EBITDA came from the two divisions that are 45 % of revenue. How stable are they, and what does the model assume for them?

Foundry Alloys sells inoculants and nodularisers to more than 1 300 iron foundries: 'low share of customer cost, but essential', priced on the value created for each customer, with a consolidated supply side [CMU-26 slide 36]. Its margin was 21-22 % in each of the last seven quarters and ROCE 18-20 %. The model gives it 2 % volume growth (India 7-8 %, mature markets 0-2 %) and 2-2.5 % price, i.e. a margin held at about 22 %.

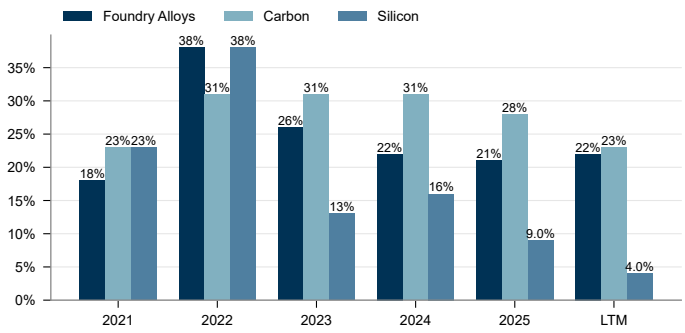
Carbon's electrode paste and ramming paste are consumables whose demand follows furnace activity at ferroalloy, silicon and aluminium producers. Low utilisation among those customers since 2023 took the margin from 31 % to 23 % and the quarterly EBITDA from 261 (Q1 2025) to 164 (Q1 2026); Q3 2026 was the best quarter in a year at 183 [Q3-26 p8]. We model a recovery to about 27 % by 2028 on +4 %/+3 % volume and price, not back to 31 %.

Carbon: quarterly EBITDA (NOKm) on the current perimeter



Source: Elkem ASA Q3 2026 report, 29 Oct 2026; Q2 2026 report (Q1 and Q4 derived). Data as of 29 Oct 2026.

EBITDA margin by division, 2021-LTM Q3 2026



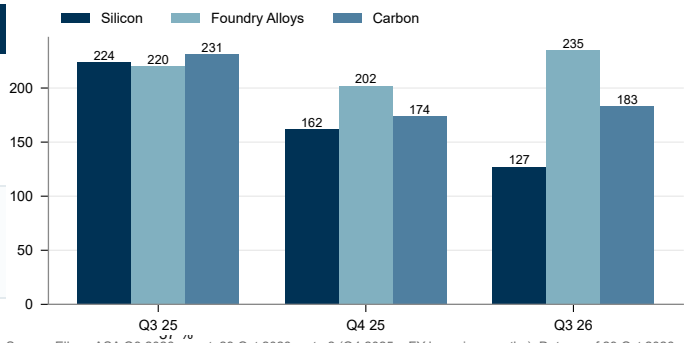
Source: Elkem Capital Markets Update, 29 Oct 2026, slides 29, 39, 49. Data as of 29 Oct 2026.

The three divisions after the restructuring

Division	Revenue 2025 (NOKm, total / external)	EBITDA 2025 (margin)	ROCE 2025	Capacity / sites
Silicon	9 452 / 8 945	873 (9 %)	6 %	8 sites incl. two under review; 207 kt sold
Foundry Alloys	4 181 / 2 642	862 (21 %)	18 %	190 kt capacity, 7 plants, >1 300 customers
Carbon	3 272 / 2 976	908 (28 %)	43 %	500 kt capacity, 6 plants

Source: Elkem ASA Q3 2026 report, 29 Oct 2026, note 2; Elkem Capital Markets Update, 29 Oct 2026, slides 23-49. Data as of 29 Oct 2026.

Quarterly EBITDA by division where the new basis exists (NOKm)



Source: Elkem ASA Q3 2026 report, 29 Oct 2026, note 2 (Q4 2025 = FY less nine months). Data as of 29 Oct 2026.

Into the model

Driver	Value used	Where in the model
Foundry Alloys volume / price	+2-3 % / +2-2.5 % a year	Drivers | volB, priceB
Carbon volume / price 2027E-2028E	+4 % and +3 % / +4 % and +3 %	Drivers | volC, priceC
Fixed share of personnel and other opex	90 % / 60 %; the NOK 600m programme as −7 % (2026) and −3 % (2027) real on the fixed base	Drivers | fix_real; COST_CAPITAL

4. Capital allocation: from 3.7x to 3.3x in nine months, and what the balance sheet still hides

Can the group get below 2.5x without the cycle, and what are the held-for-sale plants and the allowances worth per share?

Net interest-bearing debt fell from NOK 9.4bn at year-end 2025 to 6.5bn at 30 September 2026: NOK 1.8bn of new equity at NOK 27, working capital released (inventories 5 959 → 4 433) and investments capped at NOK 1.0bn, against the cash cost of the discontinued operations. Cash is NOK 5.5bn and undrawn lines NOK 4.5bn; the bank facility runs to June 2031 [Q3-26 p6, note 6]. Leverage of 3.3x against covenants of 4.75x (to March 2027) and 4.25x.

Two items sit outside the P&L: net assets held for sale of NOK 3.4bn – Elkem Iceland (book ~1.3bn, fair value estimated equal to book with a 0-3.0bn range) and Roussillon (book 1.7bn, ~2.5bn turnover, take-or-pay with Bluestar to 2031) – and 1.3 million EU ETS allowances the company values at NOK 1.2bn. The model counts both at the company's figures, NOK 13 a share; the what-if runs show the value without them. The sum-of-the-parts below is a cross-check on 2028E division EBITDA with multiples chosen by us (EST).

Net debt bridge, 31 Dec 2025 → 30 Sep 2026 (NOKm, company definition incl. leases)

Item	NOKm	Source
NIBD 31 Dec 2025	9 434	Q3-26 key figures
Equity raised, net	+1 756	Q3-26 p13
Cash flow from operations (incl. reinvestments 419)	+1 368	Q3-26 p6
Strategic investments	−91	Q3-26 p6
Discontinued operations, net cash	−1 340	Q3-26 note 9
Other (FX, leases, dividends to minorities, derivatives)	balance	derived
NIBD 30 Sep 2026	6 459	Q3-26 key figures

Source: Elkem ASA Q3 2026 report, 29 Oct 2026. Data as of 29 Oct 2026.

Debt maturities and facilities

Instrument	Amount	Maturity
Bond NO0011079204	NOK 500m	25 Feb 2027
Bond NO0013331280	NOK 400m	17 Sep 2027
Bonds NO0013005306 / NO0013007401	NOK 650m + 350m	31 Aug 2028
Bond NO0013331298	NOK 800m	17 Sep 2029
EUR term loan / RCF	EUR 600m drawn / EUR 400m undrawn	22 Jun 2031
NIB loan	NOK 750m	10 years from Jul 2026
Bond NO0013331272	NOK 300m	17 Sep 2031

Source: elkem.com financing page; Elkem ASA Q3 2026 report, 29 Oct 2026, note 6. Data as of 29 Oct 2026.

Company targets against the model

Target (CMU-26)	Level	LTM Q3 2026	Model 2027E / 2028E
EBITDA margin	> 20 % over the cycle	13 %	17 % / 18 %
Leverage NIBD / EBITDA	< 2.5x at all times	3.3x	falls below 2.5x in 2027E (model row lev)
Reinvestments	~100 % of D&A	61 % (nine months)	capex 7.2 % / 6.0 % of revenue incl. Rana
Dividend	30-50 % of EPS	none for 2025	35 % / 40 % payout

Source: Elkem Capital Markets Update, 29 Oct 2026, slide 56; case model. Data as of 29 Oct 2026.

Sum of the parts on 2028E division EBITDA (NOKm; multiples are case team estimates)

Part	EBITDA 2028E (EST)	EV/EBITDA (EST)	EV
Silicon (16 % margin on 10 473)	1 660	5.5x – Ferroglobe/Hoshine through the cycle	9 130
Foundry Alloys (22 % on 2 915)	640	9.0x – specialty, ROCE 20 %	5 760
Carbon (27 % on 3 108)	840	7.5x – Tokai Carbon, HEG 7-9x	6 300
Group costs	−100	7.0x	−700
Enterprise value	3 040	6.7x	20 490
Less NIBD, minorities, pensions; plus held for sale and allowances			−1 915
Equity value / per share (362.5m)			18 575 / NOK 51

Source: Case model segment build (elkem_data.py); peer multiples Yahoo Finance 3 Nov 2026; multiples chosen by the case team (EST). Data as of 3 Nov 2026.

Into the model

Driver	Value used	Where in the model
Held-for-sale net assets	NOK 3 423m at book as a non-operating asset (plus equity-accounted 243)	Inputs | associates
EU ETS allowances	NOK 1 200m	Inputs | other_adj
Equity raised 2026	NOK 1 756m into the first forecast year's net debt and equity	Inputs | eq_issue
Payout	0 % for 2026, 35-45 % from 2027; no buybacks	Drivers | payout, bb_on

5 Competition per market

Silicon metal (EU and US)

Prices are index-linked; the Western cost curve and the duty wall against China decide who earns money. Elkem's Salten and Thamshavn are the lowest-cost Western sites on CRU's June 2026 curve.

Silicon metal (EU and US) – operators, units, prices and binding

Producer	Position	Volume / size	Price indicator	Note	Source	Observed
Elkem Silicon	Norway: Thamshavn 50 kt, Salten 80 kt, Bremanger 30 kt; Rana 85 kt FeSi	207 kt sold 2025	EU reference price 'historic lows', rising since Q3 2026	Lowest Western cash cost (CRU via CMU-26)	Elkem Capital Markets Update, 29 Oct 2026, slides 24, 26	29 Oct 2026
Ferroglobe	Spain, France, US, South Africa	FY2025 sales USD 1.3bn; Q2 2026 shipments 40.8 kt	ASP USD 2 592/t Q2 2026 (−11 % y/y)	Requested the EU review (Euroalliages)	Ferroglobe 6-K 4 Aug 2026; release 1 Sep 2026	4 Aug 2026
Chinese producers (Hoshine and others)	China; exports +4 % YTD 2026	Hoshine FY2025 revenue CNY 20.5bn, net loss CNY 3.0bn	553# 9 300-9 400 CNY/t	Social inventory 458 kt (Sep 2026)	Mysteel 26 Oct 2026; FilingReader 3 Jul 2026	26 Oct 2026
Wacker Chemie (customer and polysilicon producer)	Germany; buys silicon for silicones and polysilicon	9M 2026 sales EUR 4.4bn	n.a.	Solar polysilicon 'challenging'	Wacker Q3 2026 release	29 Oct 2026

Source: Operators' websites; see the Source column. Data as of see the Observed column.

What it means for the case

The case does not need Chinese prices to rise – it needs the EU price to decouple through duties and registration, which is what the +10 %/+5 % Silicon price path assumes. The kill criterion is a Silicon EBITDA margin below 5 % for two quarters.

Ferrosilicon (EU)

Ferrosilicon is sold to steelmakers; EU safeguards since November 2025 have not yet lifted prices, and the anti-dumping duties on China and Russia were renewed in July 2026.

Ferrosilicon (EU) – operators, units, prices and binding

Producer	Position	Volume / size	Price indicator	Note	Source	Observed
Elkem (Rana; Iceland under review)	Rana 85 kt; Iceland 120 kt held for sale	~160 kt a year from Norway/Iceland to the EU	EU 75 % FeSi EUR 1 240-1 280/t (Argus, Jun 2026, as quoted)	Rana furnace renewal NOK 260m in Q1 2027	NewsWeb 659932; Q3-26 p4	29 Oct 2026
Chinese and Russian exporters	Duty 31.2 % (China) / 22.7 % (Russia)	China FeSi75 Ningxia 5 658 CNY/t (Aug 2026)	ZCE futures 5 832 CNY/t (2 Nov 2026)	No producer cooperated with the EU review	Presentation slide 16; SunSirs; cnyes	2 Nov 2026
European steel demand	EU apparent consumption ~135 Mt 2026 (+0.1 %), +2.3 % 2027	Capacity utilisation 65 %	–	CBAM and safeguards expected to lift EU output	EUROFER 1 Oct 2026; presentation slide 13	1 Oct 2026

Source: Operators' websites; see the Source column. Data as of see the Observed column.

What it means for the case

Ferrosilicon is the weaker of the two Silicon products: we give it the same price path as silicon but Iceland, the higher-cost FeSi plant, is outside the model as a held-for-sale asset.

Foundry alloys and carbon products

Two niches with a consolidated supply side and fragmented customers; competitors are not named in Elkem's material and no public price series exists.

Foundry alloys and carbon products – operators, units, prices and binding

Producer	Position	Volume / size	Price indicator	Note	Source	Observed
Elkem Foundry Alloys	Global leader in cast iron metal treatment	190 kt capacity, 131 kt sold 2025	Value-based pricing; margin 21-22 %	>1 300 customers	Elkem Capital Markets Update, 29 Oct 2026, slides 34-36	29 Oct 2026
Elkem Carbon	Global leader in Søderberg electrode paste	500 kt capacity, 262 kt sold 2025	Lower average prices 2025-26; margin 23 %	Demand = customer furnace activity	Elkem Capital Markets Update, 29 Oct 2026, slides 44-49; Q3-26 p8	29 Oct 2026
Tokai Carbon, HEG, Graphite India (graphite electrodes)	Listed carbon-materials peers; graphite electrodes for electric-arc steel, not paste	TTM EBITDA JPY 63bn / INR 5.8bn / INR 3.0bn	EV/EBITDA 8.6x / 8.6x / 40x (Yahoo)	Used for multiples and betas only	Yahoo Finance	3 Nov 2026
Other paste and foundry-alloy producers	Not collected	–	–	No public source identified	–	–

Source: Operators' websites; see the Source column. Data as of see the Observed column.

What it means for the case

The two divisions are valued on stability, not growth: 22 % and ~27 % margins in the model, below their 2021-2024 peaks.

6 Macro – the drivers that reach the P&L

Macro drivers and where they enter the model

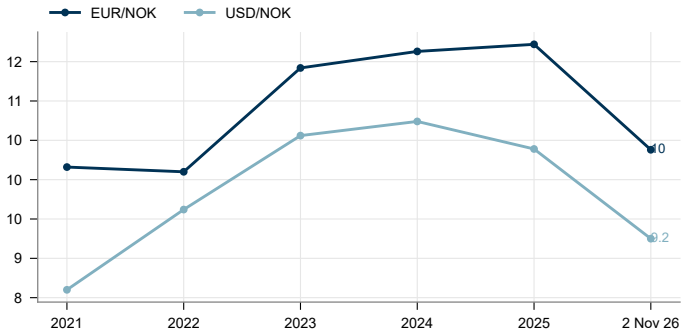
Indicator	Norway	Markets	Source	Date
Policy rate / Eurozone manufacturing PMI	4.50 % (Oct 2026)	52.9 in Sep 2026 – highest since May 2022	Norges Bank; Elkem presentation slide 12	Oct 2026
CPI 2026E / 2027E; wage growth	3.3 % / 2.6 %; 4.4 % / 4.0 %	Eurozone construction PMI 43.4	Norges Bank MPR 3/26; Elkem presentation slide 12	Sep-Oct 2026
10-year government bond	4.40 % (2 Nov 2026)	EUA EUR 90.9/t (3 Nov 2026)	Norges Bank; Trading Economics	2-3 Nov 2026
EUR/NOK; USD/NOK	10.38; 9.25 (2 Nov 2026) vs 11.72; 10.39 average 2025	China silicon 553# 9 300-9 400 CNY/t; GFEX front 8 535	Norges Bank; Mysteel; Trading Economics	2-3 Nov 2026
Power NO3 / NO4 (øre/kWh)	Q2 2026: 81 / 27; 2025: 25 / 10	German baseload ~116 øre Q1 2026	NVE Kraftsituasjonen	Jul 2026
Steel and aluminium	–	EU steel demand +0.1 % 2026, +2.3 % 2027; European aluminium output +6 % 9M 2026	EUROFER; AlCircle	Oct 2026

Source: See the Source column. Data as of see the Date column.

How the macro reaches the P&L

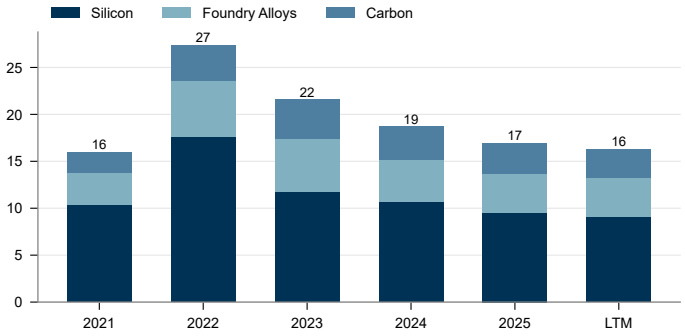
- **Silicon and FeSi prices → Silicon revenue:** every 1 % on Silicon prices is ~NOK 90m of revenue and nearly all of it EBITDA; the Chinese spot and the GFEX curve set the floor, EU duties the premium.
- **Currency → every line:** sales are in EUR and USD, costs largely in NOK; the krone strengthened from 11.72 to 10.38 per EUR between the 2025 average and November 2026, which is part of the 2026 price/mix decline and a 2027 headwind if it holds.
- **Power → raw materials and energy:** 85 % hedged, so the spot swings of 2026 reach the P&L slowly; the repricing risk sits in 2030/31.
- **Rates → discount rate and interest:** risk-free 4.40 % and a 225bp spread give a WACC near 8 %; NOK 0.9bn of bonds mature in 2027 against NOK 5.5bn of cash.

EUR/NOK and USD/NOK, annual averages and the latest fix



Source: Norges Bank exchange rates (EXR). Data as of 2 Nov 2026.

Division revenue on the current perimeter (NOKbn)



Source: Elkem Capital Markets Update, 29 Oct 2026, slides 29, 39, 49 (before eliminations). Data as of 29 Oct 2026.

7 Estimate revisions

First report

There are no stored previous estimates for this company. This build has written its estimates to the output folder; the next report will show old versus new line by line and explain the changes.

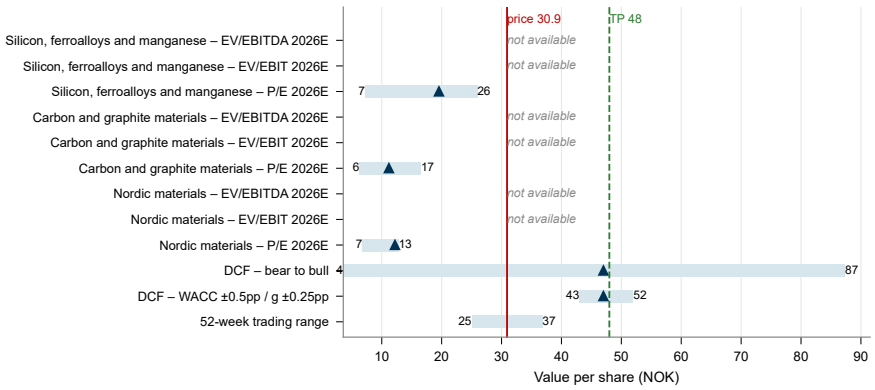
8 Valuation

Peer multiples are applied to 2026E, a trough year (EPS NOK 0.78), on trailing multiples that are themselves on trough earnings for the commodity peers; the P/E-based group values of NOK 7-20 say more about 2026 than about Elkem. The DCF carries 70 % of the target and is the anchor; the reverse DCF and the what-if runs on page 3 and in section 10 show what has to be believed at the current price.

From value to target

DCF value per share	NOK 47.0
Peer multiples value per share (median)	NOK 36.6
Blended fair value today (70% / 30%)	NOK 43.9
Rolled forward 12m at Ke less dividend	× (1 + 9.4%) − NOK 0.00
12-month target price	**NOK 48**
Upside / expected total return	55% / 55%
Rating	BUY

Valuation summary – value per share by method (range and median; lines = price and target)



Source: Case model (DCF, sensitivity, scenarios); peer multiples from the data module (Yahoo Finance). Data as of 2 Nov 2026.

What the share price of NOK 30.92 implies – each driver solved alone, the others at our base case

Driver	Market-implied	Our base case	Gap	Latest actual
Final-year EBIT adj. margin	7.4%	10.6%	+3.2pp	10.7%
Revenue CAGR to the final year	1.6%	3.1%	+1.5pp	–
WACC	11.0%	8.1%	+3.0pp	–
Terminal growth	n.m.	2.0%	–	–

Note: Case gate passed: the view differs from the market by 3.2pp on the final-year margin and 1.5pp on growth; the DCF is +52% from the price (rules: ≥ 1pp and ≥ 10 %).

Source: Case model (Reverse_DCF sheet). Data as of 2 Nov 2026.

Reading the reverse DCF

- The implied final-year EBIT margin is below the 10.7 % earned in the trough year 2025: the price assumes no recovery and some further erosion.
- Solved on growth instead, the price implies a revenue CAGR below inflation with our margins.
- The gate asks for a 1pp gap on at least one driver and 10 % between DCF and price; both are met (valuation page).

DCF – free cash flow after lease payments (pre-IFRS 16)

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Revenue	14 447	15 496	16 496	17 056	17 619	18 111	18 599	19 102
EBITDA after leases	1 718	2 417	2 841	2 916	2 987	2 908	2 941	2 973
EBIT adj.	852	1 534	1 950	2 029	2 089	2 002	2 012	2 018
EBIT adj. margin	5.9%	9.9%	11.8%	11.9%	11.9%	11.1%	10.8%	10.6%
Tax on EBIT	(213)	(383)	(488)	(507)	(522)	(501)	(503)	(504)
NOPAT	639	1 150	1 463	1 522	1 566	1 502	1 509	1 513
+ D&A	867	883	891	887	899	906	930	955
– Capex	(751)	(1 137)	(1 010)	(1 000)	(1 016)	(1 024)	(1 033)	(1 061)
– Change in NWC	1 081	(68)	(175)	(14)	(180)	(157)	(156)	(161)
Free cash flow to the firm	**1 835**	**829**	**1 169**	**1 394**	**1 269**	**1 226**	**1 249**	**1 247**
ROIC	4.3%	8.1%	10.0%	10.3%	10.4%	9.8%	9.7%	9.6%
Discount factor	0.99	0.95	0.88	0.81	0.75	0.70	0.64	0.60
Present value	295	787	1 027	1 133	954	853	804	743

Source: Case model (DCF sheet). Data as of 2 Nov 2026.

From enterprise value to the share

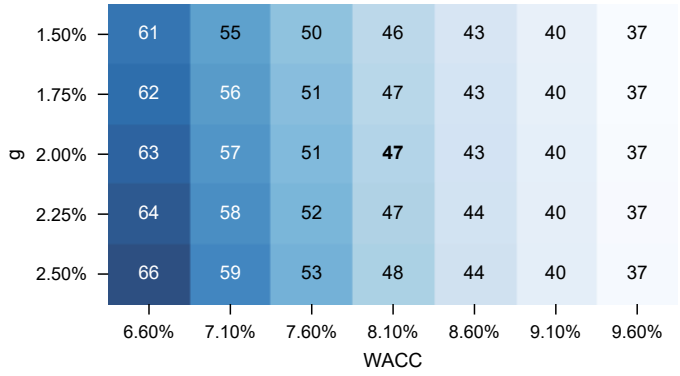
Sum of PV, explicit period	6 596
PV of terminal value	12 060
Terminal value share of EV	65%
Terminal growth / RONIC	2.0% / 10.0%
Implied exit multiple (EV/EBITDA after leases)	6.8x
Enterprise value	18 656
– Net debt and other claims	1 616
Equity value	17 040
Diluted shares (m)	362.5
DCF value per share	**NOK 47.01**

WACC

Risk-free rate	4.4%
Equity risk premium	5.0%
Unlevered peer beta (median)	0.65
Levered beta	0.86
Size / liquidity premium	0.8%
Specific premium	0.0%
Cost of equity	9.4%
Pre-tax cost of debt	6.6%
After-tax cost of debt	5.0%
Debt / (debt + equity)	30.0%
WACC	8.1%

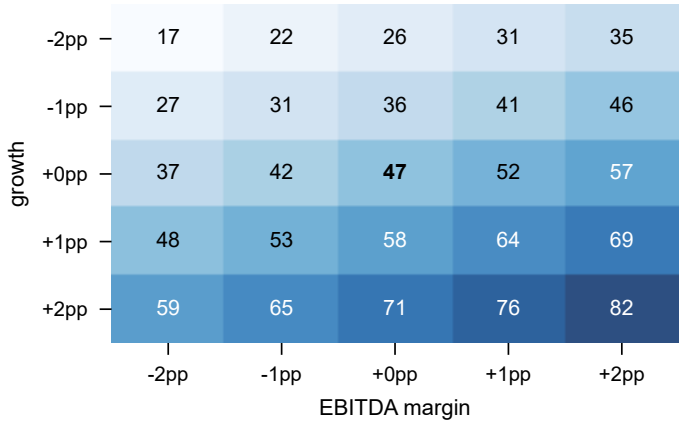
Adjusted beta = 0.67 x raw + 0.33 x 1.0. Raw betas: Yahoo Finance, 5y monthly (3 Nov 2026).

DCF value per share – WACC (columns) vs terminal growth (rows)



Source: Case model (Sensitivity table 1). Data as of 2 Nov 2026.

DCF value per share – growth shift (rows) vs margin shift (columns), pp a year



Source: Case model (Sensitivity table 3). Data as of 2 Nov 2026.

Peer multiples by group (lease-adjusted; LTM = last twelve months, NTM = next-twelve-months consensus)

Peer	Ctry	Mcap (NOKm)	EV/Sales LTM	EV/Sales NTM	EV/EBITDA LTM	EV/EBITDA NTM	EV/EBIT LTM	EV/EBIT NTM	P/E LTM	P/E NTM
Silicon, ferroalloys and manganese										
Ferroglobe	UK/US	6 632	0.64x	n.m.	16.0x	n.m.	n.m.	n.m.	n.m.	9.3x
Hoshine Silicon	CN	47 018	3.02x	n.m.	11.9x	n.m.	n.m.	n.m.	n.m.	33.4x
Eramet	FR	11 069	1.32x	n.m.	20.8x	n.m.	n.m.	n.m.	n.m.	22.7x
OM Holdings	AU/SG	1 086	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.
Wacker Chemie	DE	41 890	0.82x	n.m.	6.5x	n.m.	n.m.	n.m.	n.m.	27.6x
Carbon and graphite materials										
Tokai Carbon	JP	22 079	1.60x	n.m.	8.6x	n.m.	n.m.	n.m.	21.1x	21.3x
HEG	IN	4 680	1.88x	n.m.	8.6x	n.m.	n.m.	n.m.	13.3x	8.1x
Graphite India	IN	14 233	4.03x	n.m.	40.4x	n.m.	n.m.	n.m.	71.2x	14.4x
Nordic materials										
Norsk Hydro	NO	129 197	0.74x	n.m.	2.8x	n.m.	n.m.	n.m.	10.0x	8.7x
Borregaard	NO	15 285	2.18x	n.m.	9.9x	n.m.	n.m.	n.m.	56.6x	15.1x
Boliden	SE	134 549	1.47x	n.m.	5.7x	n.m.	n.m.	n.m.	10.3x	16.5x
SSAB	SE	90 853	0.88x	n.m.	8.1x	n.m.	n.m.	n.m.	17.6x	16.3x
Median, all peers		–	1.60x	n.m.	11.9x	n.m.	n.m.	n.m.	21.1x	21.3x
Elkem ASA at NOK 30.92		11 208	0.91x	0.85x	7.0x	5.1x	15.1x	8.5x	39.8x	12.8x

Source: Source: Yahoo Finance, 3 Nov 2026. 2026E columns = last twelve months (EV/Sales, EV/EBITDA, P/E trailing); 2027E = forward P/E only (next-twelve-months EV multiples are not public without a paid terminal). IFRS 16 basis. Yara and OM Holdings' Yahoo multiples mix reporting and listing currencies and are left blank.. Data as of 2 Nov 2026.

Implied value per share by peer group – 2026E metrics on the group's NTM multiples

Group	Multiple	n	Min	Median	Max	Value @ min	Value @ median	Value @ max
Silicon, ferroalloys and manganese	P/E	4	9.3x	25.1x	33.4x	NOK 7	NOK 20	NOK 26
Carbon and graphite materials	P/E	3	8.1x	14.4x	21.3x	NOK 6	NOK 11	NOK 17
Nordic materials	P/E	4	8.7x	15.7x	16.5x	NOK 7	NOK 12	NOK 13

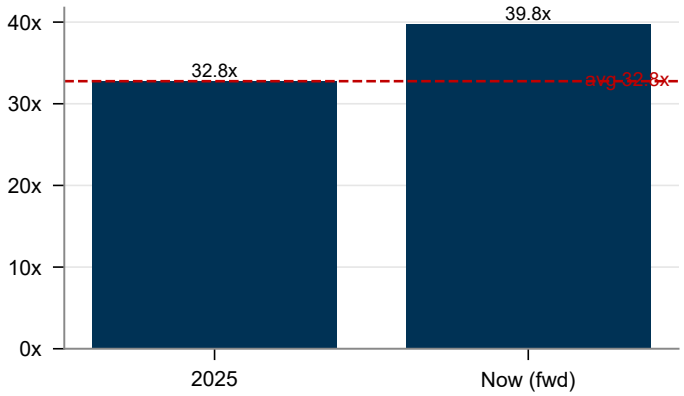
Source: Case model; peer multiples from Yahoo Finance (data module). Data as of 2 Nov 2026.

Peer betas – raw, debt-to-equity and unlevered (Blume-adjusted median feeds the WACC)

Peer	Ctry	Raw beta (5y monthly)	D/E	Tax	Unlevered beta
Ferroglobe	UK/US	1.20	35%	25%	0.95
Hoshine Silicon	CN	0.36	91%	25%	0.21
Eramet	FR	0.95	216%	26%	0.37
OM Holdings	AU/SG	0.22	41%	30%	0.17
Wacker Chemie	DE	0.75	53%	30%	0.55
Tokai Carbon	JP	0.63	61%	31%	0.44
HEG	IN	0.69	17%	25%	0.61
Graphite India	IN	0.89	6%	25%	0.86
Norsk Hydro	NO	0.79	31%	22%	0.63
Borregaard	NO	0.61	36%	22%	0.47
Boliden	SE	1.18	28%	21%	0.96
SSAB	SE	1.20	15%	21%	1.07

Source: Adjusted beta = 0.67 x raw + 0.33 x 1.0. Raw betas: Yahoo Finance, 5y monthly (3 Nov 2026).. Data as of 2 Nov 2026.

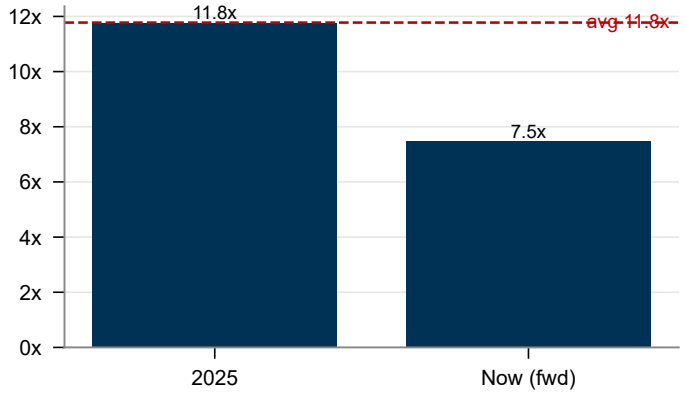
P/E at year-end prices on reported EPS, and today's price on our first forecast year



Note: Trailing multiples on year-end prices. A consensus-based forward P/E history is not available without a paid terminal. Loss years are blank.

Source: Company reports (EPS, shares); Yahoo Finance (year-end prices); case model. Data as of 2 Nov 2026.

EV / EBITDA after leases at year-end prices, and today's EV on our first forecast year



Source: Company reports; Yahoo Finance (year-end prices); case model. Data as of 2 Nov 2026.

Historical valuation at year-end prices

Year	Price (year end)	EPS	DPS	P/E	EV / EBITDA after leases	Dividend yield
2025	30.48	0.93	0.00	32.8x	11.8x	0.0%

Source: Company reports; Yahoo Finance (year-end prices). Data as of 2 Nov 2026.

Implied multiples at different share prices (EV = price × diluted shares + net debt and other claims, pre-IFRS 16)

Share price (NOK)	29	34	38	43	48	53	58	62	67	72
EV / Sales 2025A	0.8x	0.9x	1.0x	1.1x	1.3x	1.4x	1.5x	1.6x	1.7x	1.9x
EV / Sales 2026E	0.8x	1.0x	1.1x	1.2x	1.3x	1.4x	1.6x	1.7x	1.8x	1.9x
EV / Sales 2027E	0.8x	0.9x	1.0x	1.1x	1.2x	1.3x	1.5x	1.6x	1.7x	1.8x
EV / EBITDA after leases 2025A	5.1x	5.8x	6.4x	7.2x	7.9x	8.7x	9.5x	10.1x	10.8x	11.6x
EV / EBITDA after leases 2026E	7.1x	8.1x	9.0x	10.0x	11.1x	12.1x	13.2x	14.0x	15.1x	16.1x
EV / EBITDA after leases 2027E	5.0x	5.8x	6.4x	7.1x	7.9x	8.6x	9.4x	10.0x	10.7x	11.5x
EV / EBIT adj. 2025A	7.6x	8.7x	9.6x	10.8x	11.9x	13.1x	14.2x	15.1x	16.2x	17.4x
EV / EBIT adj. 2026E	14.2x	16.4x	18.1x	20.2x	22.3x	24.5x	26.6x	28.3x	30.4x	32.5x
EV / EBIT adj. 2027E	7.9x	9.1x	10.0x	11.2x	12.4x	13.6x	14.8x	15.7x	16.9x	18.1x
P / E 2025A	31.2x	36.5x	40.8x	46.2x	51.6x	57.0x	62.3x	66.6x	72.0x	77.4x
P / E 2026E	37.3x	43.7x	48.9x	55.3x	61.8x	68.2x	74.6x	79.8x	86.2x	92.6x
P / E 2027E	12.0x	14.1x	15.8x	17.9x	19.9x	22.0x	24.1x	25.8x	27.8x	29.9x

Source: Case model. Data as of 2 Nov 2026.

Football field – ranges in value per share today

Method	Low	Mid	High
52-week trading range	NOK 25.0	NOK 30.9	NOK 36.8
DCF – WACC ±0.5pp / g ±0.25pp	NOK 43.0	NOK 47.5	NOK 52.0
DCF – Bear to Bull	NOK 3.6	NOK 45.5	NOK 87.4
EV/EBITDA – peers (25th–75th pct)	NOK 39.5	NOK 65.1	NOK 90.6
EV/EBIT – peers (25th–75th pct)	–	–	–
P/E – peers (25th–75th pct)	NOK 13.4	NOK 24.6	NOK 35.9
EV/Sales – peers (25th–75th pct)	NOK 37.3	NOK 64.8	NOK 92.3

Source: Case model (Football sheet). Data as of 2 Nov 2026.

9 Financial statements

Income statement – history 2025–2025

NOKm	2025A
Revenue	**14 966**
– Silicon	9 348
– Foundry Alloys	2 642
– Carbon	2 976
Cost of goods sold	(6 469)
Personnel expenses	(2 604)
Other operating expenses	(3 327)
EBITDA (reported, IFRS 16)	**2 566**
Depreciation of owned assets	(798)
Depreciation of right-of-use assets	(75)
Special items	(11)
EBIT (reported)	**1 682**
Net financial items ex leases	(748)
Interest on lease liabilities	(21)
Profit before tax	913
Tax	(239)
Net profit	**674**
EPS (NOK)	0.93
DPS (NOK)	0.00
Lease-adjusted view	
Lease payments	(172)
EBITDA after leases	**2 394**
EBIT adj. (pre-IFRS 16)	**1 596**

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Income statement – estimates 2026–2033

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Revenue	**14 447**	**15 496**	**16 496**	**17 056**	**17 619**	**18 111**	**18 599**	**19 102**
– Silicon	9 072	9 779	10 473	10 790	11 116	11 395	11 681	11 974
– Foundry Alloys	2 667	2 788	2 915	3 033	3 140	3 251	3 349	3 450
– Carbon	2 708	2 929	3 108	3 233	3 364	3 465	3 570	3 678
Cost of goods sold	(6 862)	(7 093)	(7 446)	(7 759)	(8 075)	(8 476)	(8 758)	(9 052)
Personnel expenses	(2 496)	(2 513)	(2 586)	(2 653)	(2 722)	(2 791)	(2 861)	(2 933)
Other operating expenses	(3 196)	(3 288)	(3 425)	(3 523)	(3 624)	(3 719)	(3 815)	(3 914)
EBITDA (reported, IFRS 16)	**1 892**	**2 603**	**3 039**	**3 120**	**3 199**	**3 125**	**3 165**	**3 202**
Depreciation of owned assets	(867)	(883)	(891)	(887)	(899)	(906)	(930)	(955)
Depreciation of right-of-use assets	(153)	(164)	(174)	(180)	(186)	(191)	(196)	(202)
Special items	0	0	0	0	0	0	0	0
EBIT (reported)	**872**	**1 556**	**1 974**	**2 053**	**2 114**	**2 028**	**2 038**	**2 045**
Net financial items ex leases	(443)	(269)	(224)	(193)	(158)	(129)	(105)	(79)
Interest on lease liabilities	(21)	(22)	(24)	(25)	(25)	(26)	(27)	(28)
Profit before tax	408	1 265	1 726	1 836	1 931	1 873	1 906	1 939
Tax	(102)	(316)	(432)	(459)	(483)	(468)	(477)	(485)
Net profit	**306**	**949**	**1 295**	**1 377**	**1 448**	**1 405**	**1 430**	**1 455**
EPS (NOK)	0.78	2.41	3.29	3.50	3.68	3.57	3.63	3.69
DPS (NOK)	0.00	0.84	1.31	1.40	1.65	1.60	1.63	1.66
Lease-adjusted view								
Lease payments	(173)	(186)	(198)	(205)	(211)	(217)	(223)	(229)
EBITDA after leases	**1 718**	**2 417**	**2 841**	**2 916**	**2 987**	**2 908**	**2 941**	**2 973**
EBIT adj. (pre-IFRS 16)	**852**	**1 534**	**1 950**	**2 029**	**2 089**	**2 002**	**2 012**	**2 018**

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Balance sheet (condensed, year end) – history 2025–2025

NOKm	2025A
Goodwill	305
Property, plant and equipment	8 732
Right-of-use assets	402
Other non-current assets	26 020
Net working capital	6 282
Invested capital (ex leases)	**15 319**
Net interest-bearing debt	8 863
Lease liabilities	413
Deferred tax and other	8 439
Equity	**23 922**
Minority interests	104

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Balance sheet (condensed, year end) – estimates 2026–2033

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Goodwill	305	305	305	305	305	305	305	305
Property, plant and equipment	8 616	8 870	8 989	9 102	9 219	9 338	9 441	9 546
Right-of-use assets	405	436	464	480	497	511	525	539
Other non-current assets	26 020	26 020	26 020	26 020	26 020	26 020	26 020	26 020
Net working capital	5 201	5 269	5 444	5 458	5 638	5 795	5 952	6 112
Invested capital (ex leases)	**14 122**	**14 444**	**14 738**	**14 865**	**15 162**	**15 438**	**15 697**	**15 964**
Net interest-bearing debt	5 604	4 977	4 281	3 508	2 864	2 335	1 746	1 149
Lease liabilities	416	447	475	491	508	522	536	550
Deferred tax and other	8 439	8 439	8 439	8 439	8 439	8 439	8 439	8 439
Equity	**25 960**	**26 833**	**27 718**	**28 509**	**29 334**	**30 027**	**30 761**	**31 507**
Minority interests	129	204	308	418	534	646	761	877

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Cash flow (lease-adjusted) – history 2025–2025

NOKm	2025A
EBITDA after leases	–
Tax paid	–
Net financial items	–
Special items	–
Change in working capital	–
Other operating items	–
Cash flow from operations after leases	**–**
Capex	–
Free cash flow to equity	**–**
Acquisitions	–
Dividends	–
Buybacks	–
Other financing	–
Change in net debt	**–**
Free cash flow to the firm	**–**

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Cash flow (lease-adjusted) – estimates 2026–2033

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
EBITDA after leases	1 718	2 417	2 841	2 916	2 987	2 908	2 941	2 973
Tax paid	(102)	(316)	(432)	(459)	(483)	(468)	(477)	(485)
Net financial items	(443)	(269)	(224)	(193)	(158)	(129)	(105)	(79)
Special items	0	0	0	0	0	0	0	0
Change in working capital	1 081	(68)	(175)	(14)	(180)	(157)	(156)	(161)
Other operating items	0	0	0	0	0	0	0	0
Cash flow from operations after leases	**2 254**	**1 764**	**2 011**	**2 250**	**2 166**	**2 153**	**2 203**	**2 249**
Capex	(751)	(1 137)	(1 010)	(1 000)	(1 016)	(1 024)	(1 033)	(1 061)
Free cash flow to equity	**1 503**	**627**	**1 001**	**1 249**	**1 151**	**1 129**	**1 171**	**1 188**
Acquisitions	0	0	0	0	0	0	0	0
Dividends	0	0	(305)	(476)	(507)	(600)	(582)	(592)
Buybacks	0	0	0	0	0	0	0	0
Other financing	0	0	0	0	0	0	0	0
Change in net debt	**3 259**	**627**	**695**	**773**	**644**	**530**	**589**	**596**
Free cash flow to the firm	**1 835**	**829**	**1 169**	**1 394**	**1 269**	**1 226**	**1 249**	**1 247**

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Key ratios (multiples at the current share price) – history 2025–2025

NOKm	2025A
Revenue growth	–
– of which new locations	–
– of which like-for-like volume	–
– of which price/mix	–
EBITDA margin (reported)	17.1%
EBITDA after leases margin	16.0%
EBIT adj. margin	10.7%
Net margin	3.9%
Effective tax rate	26.2%
ROIC	–
ROE	–
Cash conversion (FCFF / EBITDA after leases)	–
Capex / sales	15.0%
NWC / sales	42.0%
NIBD / EBITDA after leases (x)	3.7x
Interest cover (x)	2.1x
Payout ratio	0.0%
Shares (m)	634.2
Book value per share (NOK)	37.7
FCF per share (NOK)	0.00
EV / Sales (x)	0.9x
EV / EBITDA after leases (x)	5.1x
EV / EBIT adj. (x)	8.1x
P / E (x)	33.2x
P / B (x)	0.8x
FCF yield	–
Dividend yield	0.0%

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Key ratios (multiples at the current share price) – estimates 2026–2033

NOKm	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Revenue growth	(3.5%)	7.3%	6.5%	3.4%	3.3%	2.8%	2.7%	2.7%
– of which new locations	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
– of which like-for-like volume	9.0%	(0.1%)	2.2%	1.4%	1.3%	0.8%	0.7%	0.7%
– of which price/mix	(12.4%)	7.4%	4.3%	2.0%	2.0%	2.0%	2.0%	2.0%
EBITDA margin (reported)	13.1%	16.8%	18.4%	18.3%	18.2%	17.3%	17.0%	16.8%
EBITDA after leases margin	11.9%	15.6%	17.2%	17.1%	17.0%	16.1%	15.8%	15.6%
EBIT adj. margin	5.9%	9.9%	11.8%	11.9%	11.9%	11.1%	10.8%	10.6%
Net margin	2.0%	5.6%	7.2%	7.4%	7.6%	7.1%	7.1%	7.0%
Effective tax rate	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
ROIC	4.3%	8.1%	10.0%	10.3%	10.4%	9.8%	9.7%	9.6%
ROE	1.1%	3.3%	4.4%	4.5%	4.6%	4.4%	4.3%	4.3%
Cash conversion (FCFF / EBITDA after leases)	106.8%	34.3%	41.1%	47.8%	42.5%	42.2%	42.5%	42.0%
Capex / sales	5.2%	7.3%	6.1%	5.9%	5.8%	5.7%	5.6%	5.6%
NWC / sales	36.0%	34.0%	33.0%	32.0%	32.0%	32.0%	32.0%	32.0%
NIBD / EBITDA after leases (x)	3.3x	2.1x	1.5x	1.2x	1.0x	0.8x	0.6x	0.4x
Interest cover (x)	1.9x	5.7x	8.7x	10.5x	13.2x	15.5x	19.1x	25.7x
Payout ratio	0.0%	35.0%	40.0%	40.0%	45.0%	45.0%	45.0%	45.0%
Shares (m)	362.5	362.5	362.5	362.5	362.5	362.5	362.5	362.5
Book value per share (NOK)	71.6	74.0	76.5	78.6	80.9	82.8	84.9	86.9
FCF per share (NOK)	4.15	1.73	2.76	3.45	3.17	3.12	3.23	3.28
EV / Sales (x)	0.9x	0.8x	0.8x	0.8x	0.7x	0.7x	0.7x	0.7x
EV / EBITDA after leases (x)	7.0x	5.1x	4.3x	4.2x	4.1x	4.2x	4.2x	4.1x
EV / EBIT adj. (x)	15.1x	8.5x	6.7x	6.4x	6.2x	6.5x	6.5x	6.4x
P / E (x)	39.8x	12.8x	9.4x	8.8x	8.4x	8.7x	8.5x	8.4x
P / B (x)	0.4x	0.4x	0.4x	0.4x	0.4x	0.4x	0.4x	0.4x
FCF yield	13.4%	5.6%	8.9%	11.1%	10.3%	10.1%	10.4%	10.6%
Dividend yield	0.0%	2.7%	4.3%	4.5%	5.3%	5.2%	5.3%	5.4%

Source: Company reports (history), case model (estimates, ELK workbook). Data as of 2 Nov 2026.

Forecast drivers (base case)

	2026E EST	2027E EST	2028E EST	2029E EST	2030E EST	2031E EST	2032E EST	2033E EST
Like-for-like volume growth – Silicon	13.5%	(2.0%)	2.0%	1.0%	1.0%	0.5%	0.5%	0.5%
Like-for-like volume growth – Foundry Alloys	3.0%	2.0%	2.0%	2.0%	1.5%	1.5%	1.0%	1.0%
Like-for-like volume growth – Carbon	0.0%	4.0%	3.0%	2.0%	2.0%	1.0%	1.0%	1.0%
Price/mix growth – Silicon	(14.5%)	10.0%	5.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Price/mix growth – Foundry Alloys	(2.0%)	2.5%	2.5%	2.0%	2.0%	2.0%	2.0%	2.0%
Price/mix growth – Carbon	(9.0%)	4.0%	3.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Net new locations – Silicon	0	0	0	0	0	0	0	0
Net new locations – Foundry Alloys	0	0	0	0	0	0	0	0
Net new locations – Carbon	0	0	0	0	0	0	0	0
Fixed-cost inflation	3.0%	3.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
Maintenance capex / sales	5.2%	7.2%	6.0%	5.8%	5.7%	5.6%	5.5%	5.5%
Capex per new location (NOKm)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NWC / sales	36.0%	34.0%	33.0%	32.0%	32.0%	32.0%	32.0%	32.0%
Tax rate	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
Payout ratio	0.0%	35.0%	40.0%	40.0%	45.0%	45.0%	45.0%	45.0%

Source: Case data module (BASE). Data as of 2 Nov 2026.

Quarterly numbers (reported)

NOKm	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	3 829	3 864	3 675	3 598	3 661	3 708	3 587
EBITDA reported	724	645	646	552	316	523	554
EBITDA after leases	683	604	616	513	286	492	532
EBIT (reported)	512	435	435	303	101	300	312
EBIT adj.	486	409	421	279	85	277	303
Net profit	207	20	318	129	263	(69)	451
EPS (NOK)	–	–	–	–	–	–	–

Source: Company reports (Elkem ASA Q3 2026 report (29 Oct 2026) and Q2 2026 report (10 Jul 2026), restated continuing operations; Q1/Q4 derived). Data as of 29 Oct 2026.

10 What we do not know

Data map – what this report could not use

Input	Status	Source we lack / what we did instead
Quarterly history by division on the new basis	Partly	Q3 2025, Q4 2025 (derived) and Q3 2026 only; Carbon for all seven quarters; Q1-Q2 as the old Silicon Products segment
Annual history on the current perimeter	One year	2025 restated in the Q3 2026 report; 2021-2024 only as division revenue and margins from the CMU charts
Consensus by line	Partly	Yahoo revenue (5-6 analysts) and EPS (3); EBITDA, EBIT, DPS and any quarterly consensus not available – Elkem publishes none
Silicon, ferrosilicon and foundry-alloy price series	Points only	Fastmarkets/CRU/Argus indices not available; dated quotes from SunSirs, Mysteel, Ferroglobe filings and Argus news
Power contract prices	Not available	Elkem discloses volumes and hedging ratio, not prices
Peer NTM multiples	Not available	Yahoo gives trailing EV multiples and forward P/E only
Competitor table for foundry alloys and electrode paste	Not collected	no public source identified
Consensus EBITDA, EBIT, DPS	Missing	Yahoo Finance (3 Nov 2026): revenue 5-6 analysts, EPS 3 analysts; EBITDA, EBIT and DPS not available – Elkem publishes no consensus has revenue and EPS only; Bloomberg/FactSet not used
Consensus for the next quarter by line and segment	Missing	Infront/Bloomberg not used; Yahoo gives one EPS and revenue mean
Web traffic for the company and its competitors	Missing	Similarweb (paid) – no free equivalent
Peer operating estimates (units, members, revenue per unit)	Missing	Visible Alpha (paid); peers' own reports give history only

Source: This report. Data as of 3 Nov 2026.

The assumptions that carry most – one change at a time from the base case (DCF NOK 47.0, TP NOK 48 BUY)

Change	DCF value	vs base	Target	Rating
Gross margin stays at the last actual level	NOK 65.9	NOK 18.9	NOK 70	BUY
All costs variable (no operating leverage)	NOK 28.7	NOK -18.3	NOK 34	HOLD
WACC 10.0%	NOK 35.3	NOK -11.7	NOK 39	BUY
Price/mix -1pp a year	NOK 36.1	NOK -10.9	NOK 39	BUY
Like-for-like volume -1pp a year	NOK 36.2	NOK -10.8	NOK 39	BUY
Personnel ratio stays at the last actual level (all personnel costs variable)	NOK 37.1	NOK -9.9	NOK 40	BUY
Price -0.5pp and cost inflation +0.5pp	NOK 37.8	NOK -9.2	NOK 41	BUY
Price/mix +0.5pp a year	NOK 52.7	NOK 5.7	NOK 53	BUY
Price/mix -0.5pp a year	NOK 41.5	NOK -5.5	NOK 43	BUY
EBIT margin -1pp in every year	NOK 41.9	NOK -5.1	NOK 42	BUY
Cost inflation +0.5pp from 2027	NOK 43.3	NOK -3.7	NOK 45	BUY
Cost inflation -0.5pp from 2027	NOK 50.6	NOK 3.6	NOK 51	BUY
RONIC 15%	NOK 49.8	NOK 2.8	NOK 50	BUY
RONIC = WACC (growth creates no value in the TV)	NOK 45.1	NOK -2.0	NOK 47	BUY
Terminal growth 3.0%	NOK 48.9	NOK 1.9	NOK 49	BUY
Terminal growth 1.0%	NOK 45.6	NOK -1.4	NOK 47	BUY
Cost inflation 4.0% also in 2026 (no FX relief)	NOK 45.7	NOK -1.3	NOK 47	BUY
WACC 8.0%	NOK 47.8	NOK 0.8	NOK 49	BUY
Maintenance capex 6% of revenue	NOK 46.8	NOK -0.2	NOK 48	BUY
No new clubs (net openings = 0)	NOK 47.0	NOK 0.0	NOK 48	BUY
Half the openings	NOK 47.0	NOK 0.0	NOK 48	BUY
Committed pipeline only in 2027-28 (5 + 5 clubs), base case after	NOK 47.0	NOK 0.0	NOK 48	BUY
One more opening per country a year	NOK 47.0	NOK 0.0	NOK 48	BUY
Capex per new club NOK 15m	NOK 47.0	NOK 0.0	NOK 48	BUY
Buybacks off	NOK 47.0	NOK 0.0	NOK 48	BUY
Leverage target 1.0x (less buybacks)	NOK 47.0	NOK 0.0	NOK 48	BUY
100% DCF (no peer weight)	NOK 47.0	NOK 0.0	NOK 51	BUY

Source: Case model, whatif_runs.py (whatif_runs_elkem.json). Data as of 2 Nov 2026.

The judgements on the record – audit items that are not a plain pass, and the answer given

#	Failure mode	What the audit saw	The case's answer
A10	Anchoring to management guidance	no company guidance in META['guidance']	–
B29	Heuristic target / conflicts	DCF weight 70%; conflicts block: not in META	–
A12	Stale target after bad news	model 1 days old; current price not given (--price-now)	–
A13	Target-price optimism	expected total return 55.2% vs Ke 9.4% (>Ke+40pp)	–
B19	Growth not paid for	workbook check: Growth is paid for: return on new capital (explicit period) vs. today's ROIC | 23.117079322576526 | WARNING	–
B20	Inconsistent leverage in WACC	relevering D/E 42.9% = D/V 30.0% / (1 − D/V): True; forecast D/V 22.0%	–
A9	Commodity deck vs forward curve	model price 10230 vs forward 8530 (3 Nov 2026): +19.9%	The GFEX contract is Chinese domestic 553# silicon; Elkem sells into the EU behind a 16.8 % anti-dumping duty that is under review with import registration since 27 Oct 2026, and into the US behind tariffs. The model assumes EU prices decouple upwards from the Chinese curve (deep dive 2).
B17	Working capital	NWC 42.0% of revenue (3y avg) → low of 32.0% in the forecast; NWC released in 1 growth year(s) (>5pp fall)	Working capital falls from 42 % of revenue (31 Dec 2025, incl. derivatives and full-cost inventories) to 36 % at 30 Sep 2026 already; the model takes it to 32 %, still above the company's own historic level of 23 % on its definition (Feb 2026 deck). The release is the company's NOK 1bn programme, 841 of which was done by June 2026.
B21	rf / ERP / currency	rf 4.40%, ERP 5.0%, size 0.8%, specific 0.0%; equity NOK 11.2bn; size premium 0.8% vs PwC/FFN median 0% for NOK 11.2bn equity	0.75 % size/liquidity premium for a NOK ~11bn market cap with a rebuilt shareholder base; between the PwC/NFF median (0 %) and the SATS case's 1.0 % (WACC_INPUTS comment).
B27	Leverage, refinancing, dividends	peak NIBD/EBITDAaL 3.3x, min interest cover 1.9x: needs a distress/refinancing scenario	Leverage 3.3x at 30 Sep 2026 against covenants of 4.75x (to Mar 2027) and 4.25x, NOK 5.5bn of cash and NOK 4.5bn undrawn against NOK 0.9bn of 2027 maturities; the bear scenario (prices at the trough for eight years) is the distress case and is priced at NOK 3.6 per share – the refinancing of June 2026 runs to 2031 (deep dive 4).

Source: model_builder/audit.py on this workbook; reasons from META['reasons']. Data as of 3 Nov 2026.

What would change the conclusion

- Without the held-for-sale plants (NOK 3.4bn) and the EU ETS allowances (NOK 1.2bn) the DCF is NOK 34 a share (−12.8 from the EV bridge) and the target about 35 – a HOLD at the current price.
- Price/mix 1pp a year below the base case takes the DCF to NOK 36 (target 39, still BUY); volume 1pp a year lower gives NOK 36 as well (what-if runs).
- All costs variable – no operating leverage at all – gives NOK 29 and a HOLD at a target of 34; this is the assumption the market price is closest to.
- WACC 10 % gives NOK 35 (BUY at 39); RONIC equal to WACC in the terminal value removes NOK 2 per share; terminal growth 1 % removes NOK 1.4.
- The bear case – EU prices at the 2026 trough for eight years and higher power costs – is NOK 3.6 today and NOK 10 in twelve months (SELL): the downside is the balance sheet, not the margin.

One-at-a-time changes that flip the rating: All costs variable (no operating leverage).

Stress tests (ANALYSE.md) – value and rating under each

Stress	DCF value	Target	Rating
Scenario = Bear	NOK 3.6	NOK 10	SELL
Scenario = Bull	NOK 87.4	NOK 82	BUY
WACC override 10%	NOK 35.3	NOK 39	BUY
Share price +25%	NOK 47.0	NOK 48	BUY
#4 margins revert to the last-3-year mean*	NOK 11.2	NOK 8	SELL
#17 NWC/sales held at the last actual	NOK 44.2	NOK 46	BUY
#21 WACC +1pp	NOK 40.0	NOK 43	BUY
#5 RONIC = WACC in the terminal value	NOK 45.1	NOK 47	BUY

Source: Case model, stress_test.py. Data as of 2 Nov 2026.

What we do not know

- Elkem's realised prices and contract structure per product against the indices – only the direction is disclosed.
- The average price of the Norwegian power contracts and what replaces the '30-øringen' after 2030.
- What Elkem Iceland and Roussillon will be sold for; Iceland's own fair-value range is NOK 0-3.0bn.
- The outcome of the EU interim review on Chinese silicon – binary, with registration making retroactive duties possible.
- How much of Carbon's margin loss is cyclical (customers' furnace activity) and how much is price or share.
- The 2026 tax rate on the new perimeter and the value of the Norwegian losses carried forward.

11 Disclosures, sources and checks

Disclosures (MAR art. 20 / 2016/958 and VPFF Standard 3 items, as applied to a student case)	
Status	
Author	
Prices used	
Balance sheet date	
Model date	
Rating definitions	
Valuation method	
Update frequency	
12-month history	
Conflicts of interest	
Data	Company data: Elkem ASA Q3 2026 report and presentation, Capital Markets Update 2026, Q2 2026 report and the 2025 annual report; prices: oslo-quant store (Yahoo adjusted closes); peers

No rating history – HISTORY = [(date, rating, target, price, note)] in the data module; the first row is this report

Build gate – the checks that must pass before this report is built

Check	Result	Detail
Checks sheet	passed	OK – 3 WARNING(S)
verify_dcf.py	passed	Python 47.008 vs Excel 47.008 per share; max row diff 0.000; 3 round trips within 0.12 of 30.92; 1 driver not solvable (stated in the report)
Case audit (ANALYSE.md §4)	passed	MISSING 2, WARN 4, JUSTIFIED 4, PASS 20
Case gate (reverse DCF)	passed	margin gap +3.2pp, growth gap +1.5pp, DCF +52% vs price
stress_test.py	passed	21 runs; no ERROR on any switch

Source: verify_dcf.py, stress_test.py, audit.py, case_gate.py. Data as of 3 Nov 2026.

Workbook integrity checks – OK – 3 WARNING(S)

#	Check	Type	Status
1	Historical balance sheet balances	Error	OK
2	Historical cash flow ties to change in cash	Warning	OK
3	Revenue build equals reported revenue (history)	Error	OK
4	Model EBIT equals reported EBIT (history)	Error	OK
5	Forecast balance sheet balances (Output)	Error	OK
6	Cash flow statement ties to net debt (Output)	Error	OK
7	No Excel errors in calculation sheets	Error	OK
8	WACC above terminal growth	Error	OK
9	Terminal growth at most 3%	Warning	OK
10	Terminal value at most 80% of EV	Warning	OK
11	RONIC at least WACC	Warning	OK
12	Stub fraction between 0% and 100%	Error	OK
13	Weights between 0% and 100%	Error	OK
14	Sensitivity centre equals DCF value	Error	OK
15	Data-table input cells are blank	Error	OK
16	Scenario probabilities sum to 100%	Error	OK
17	PP&E stays positive in the forecast	Error	OK
18	Share price and share count positive	Error	OK
19	Implied exit multiple within peer EV/EBITDA range	Warning	WARNING
20	DCF within ±30% of peer multiples value	Warning	OK
21	Growth is paid for: return on new capital (explicit period) vs. today's ROIC	Warning	WARNING
22	Net reinvestment positive in every year with revenue growth	Warning	OK
23	WACC capital structure consistent with the forecast balance sheet	Warning	OK
24	Locations positive in every forecast year	Error	OK
25	Ramp-up curve between 0% and 100% and rising	Error	OK
26	Utilisation: volume per mature location vs. the historical peak (location mode)	Warning	OK
27	Reverse DCF solved for all market-implied drivers	Warning	WARNING
28	Thesis tracker: no kill criterion breached on the latest actuals	Warning	OK
29	Base case consistent with its own kill criteria	Warning	OK
30	Active scenario is Base (for the pitch)	Info	OK

Source: Case model (Checks sheet). Data as of 2 Nov 2026.

Sources used in this report

Source	Used for	Date
Elkem ASA Q3 2026 report and presentation (Cision/NewsWeb 685070)	Restated 2025, quarterly series, divisions, balance sheet, shares, held for sale, allowances, trade measures	29 Oct 2026
Elkem Capital Markets Update 2026	Financial targets, division history 2021-2025, plants and capacities, power positions	29 Oct 2026
Elkem Q2 2026 report; Q1 2026 report; Q4 2025 report; 2025 integrated annual report	H1 2026 and 2025 comparatives, cost programme, Iceland reclassification, CO2 compensation, power contracts, key figures 2019-2025	10 Jul 2026 and earlier
Oslo Børs NewsWeb, issuer ELK (87 messages, 1 Nov 2025-3 Nov 2026)	Transaction, EGM, equity raise, share capital, calendar, insider trades, flaggings	3 Nov 2026
oslo-quant store (Yahoo Finance adjusted closes)	Daily closes for ELK and OSEBX, 52-week range, year-end prices	2 Nov 2026
Yahoo Finance via yfinance	Peer market data, multiples, betas, FX; Elkem revenue/EPS estimates and target prices	3 Nov 2026
Norges Bank	10-year government bond yield; EUR/NOK, USD/NOK, CNY/NOK	2 Nov 2026
NVE Kraftsituasjonen (Q1 2025-Q2 2026, week 36 2026), Rapport 17/2026; ACER	Area power prices NO1-NO5; European comparisons	Jul-Sep 2026
SunSirs, Mysteel, SMM, Trading Economics, metal.com; Ferroglobe SEC filings; Argus (as quoted)	Silicon and ferrosilicon price points, GFEX and ZCE futures	Oct-Nov 2026
EUR-Lex, GTAI, US Commerce / Federal Register, EUROFER, worldsteel, ACEA	Trade measures, steel and auto demand	2026
Miljødirektoratet, regjeringen.no, Stortinget (Innst. 9 S), DEHSt, UBA	CO2 compensation rules and budgets; EUA averages	2025-2026
Case model (Equity Research Toolkit workbook, model_builder/elkem_data.py)	Every estimate, scenario, sensitivity and valuation figure	3 Nov 2026

Source: This report. Data as of 3 Nov 2026.

Definitions

Term	Meaning
EBITDA after leases (EBITDAaL)	EBITDA less the lease payments of the period – the pre-IFRS 16 operating cash margin the valuation is built on.
EBIT adj.	EBITDA after leases less depreciation of owned assets; excludes special items. The margin the reverse DCF solves for.
FCFF	NOPAT + D&A − capex − change in working capital, after lease payments; discounted at the WACC.
ROIC	NOPAT over invested capital excluding right-of-use assets.
NIBD / EV	Net interest-bearing debt excluding lease liabilities; enterprise value = market capitalisation + NIBD + other claims (pre-IFRS 16).
Target price	Blended fair value today (DCF and peer multiples), rolled forward twelve months at the cost of equity less the expected dividend, rounded.
Rating	BUY: 12-month expected total return above the cost of equity + 5pp; SELL: below Ke − 5pp; HOLD in between
Reverse DCF	The value of one driver (final-year margin, revenue CAGR, WACC or terminal growth) at which our model returns today's share price, the others held at our base case.
Case gate	The report is only built if a driver differs from the market-implied value by at least 1pp and the DCF is at least 10 % from the price.
Kill criterion	A KPI level at which the thesis is wrong; checked against the latest actual (status on track / watch / breached) and against the base case.
EST	A case-team estimate (forecast, split or assumption), as opposed to a reported figure.
Not available	A figure the sell side buys (Bloomberg, FactSet, Visible Alpha, Similarweb) and this toolkit does not have; never replaced by a guess.

Source: ANALYSE.md, model_builder/README.md. Data as of 3 Nov 2026.

Case audit – the 30 failure modes of ANALYSE.md section 4

#	Failure mode	Status	Detail
A10	Anchoring to management guidance	MISSING	no company guidance in META['guidance']
B29	Heuristic target / conflicts	MISSING	DCF weight 70%; conflicts block: not in META
A12	Stale target after bad news	WARN	model 1 days old; current price not given (--price-now)
A13	Target-price optimism	WARN	expected total return 55.2% vs Ke 9.4% (>Ke+40pp)
B19	Growth not paid for	WARN	workbook check: Growth is paid for: return on new capital (explicit period) vs. today's ROIC | 23.117079322576526 | WARNING
B20	Inconsistent leverage in WACC	WARN	relevering D/E 42.9% = D/V 30.0% / (1 − D/V): True; forecast D/V 22.0%
A9	Commodity deck vs forward curve	JUSTIFIED	model price 10230 vs forward 8530 (3 Nov 2026): +19.9% *Reason: The GFEX contract is Chinese domestic 553# silicon; Elkem sells into the EU behind a 16.8 % anti-dumping duty that is under review with import registration since 27 Oct 2026, and into the US behind tariffs. The model assumes EU prices decouple upwards from the Chinese curve (deep dive 2).*
B17	Working capital	JUSTIFIED	NWC 42.0% of revenue (3y avg) → low of 32.0% in the forecast; NWC released in 1 growth year(s) (>5pp fall) *Reason: Working capital falls from 42 % of revenue (31 Dec 2025, incl. derivatives and full-cost inventories) to 36 % at 30 Sep 2026 already; the model takes it to 32 %, still above the company's own historic level of 23 % on its definition (Feb 2026 deck). The release is the company's NOK 1bn programme, 841 of which was done by June 2026.*
B21	rf / ERP / currency	JUSTIFIED	rf 4.40%, ERP 5.0%, size 0.8%, specific 0.0%; equity NOK 11.2bn; size premium 0.8% vs PwC/FFN median 0% for NOK 11.2bn equity *Reason: 0.75 % size/liquidity premium for a NOK ~11bn market cap with a rebuilt shareholder base; between the PwC/NFF median (0 %) and the SATS case's 1.0 % (WACC_INPUTS comment).*
B27	Leverage, refinancing, dividends	JUSTIFIED	peak NIBD/EBITDAaL 3.3x, min interest cover 1.9x: needs a distress/refinancing scenario *Reason: Leverage 3.3x at 30 Sep 2026 against covenants of 4.75x (to Mar 2027) and 4.25x, NOK 5.5bn of cash and NOK 4.5bn undrawn against NOK 0.9bn of 2027 maturities; the bear scenario (prices at the trough for eight years) is the distress case and is priced at NOK 3.6 per share – the refinancing of June 2026 runs to 2031 (deep dive 4).*
A1	Growth above base rates	PASS	revenue CAGR 3.1% nominal, 0.5% real over 8 years
A11	Herding on consensus	PASS	estimates differ from consensus: -3.0%, -6.2%, -17.3%, -33.7%
A14	Skewed rating scale	PASS	BUY above Ke+5%, SELL below Ke-5% (expected total return vs cost of equity)
A15	Binary event not weighted	PASS	binary event 'EU anti-dumping interim review on Chinese silicon (initiated 1 Sep 2026; conclusion within 12-15 months)': scenario probabilities [0.3, 0.45, 0.25]
A16	Tax and regulatory regime	PASS	sector 'materials': ordinary corporate tax 25.0%
A2	Forecast range too narrow	PASS	bear 3.6 / base 47.0 / bull 87.4 per share; revenue CAGR spread bull-bear 7.1%
A3	Hockey-stick margins	PASS	final-year EBIT adj. margin 10.6% vs historical max 10.7%
A4	No mean reversion	PASS	margin 10.7% vs peer median 11.9%
A5	Terminal returns not faded	PASS	terminal RONIC 10.0% / WACC 8.1% = 1.24x
A6	Terminal growth not paid for	PASS	g 2.0% ≤ rf 4.4%; reinvestment 20.0% of NOPAT = g/RONIC
A7	Terminal value dominance	PASS	TV 65% of EV
A8	Peak-cycle earnings capitalised	PASS	terminal margin 10.6% vs through-cycle mean+1SD 10.7% (1 years of history)
B18	Capex below depreciation while growing	PASS	capex ≥ D&A (owned assets) in every growth year
B22	Reporting vs listing currency	PASS	reports and lists in NOK
B23	IFRS 16 double count / omission	PASS	FCFF after lease payments (pre-IFRS 16); bridge deducts NIBD 6,125 ex leases; lease liabilities 333 shown as memo only; peers on an IFRS 16 basis (EV incl. leases)
B24	Incomplete EV-to-equity bridge	PASS	bridge: NIBD, minorities -130, associates 3666, pensions/other filled
B25	Share count and dilution	PASS	basic 362.5m, diluted 362.5m
B26	Stale balance sheet / dates	PASS	balance sheet 30 Sep 2026, valuation 02 Nov 2026: 33 days
B28	Exit multiple vs Gordon TV	PASS	Gordon TV implies 6.8x EV/EBITDAaL vs the exit cross-check 6.5x (+5%)
B30	MAR / 2016/958 disclosures	PASS	all disclosure fields present

Source: model_builder/audit.py. Data as of 3 Nov 2026.